

U.S. Software

The Q2 On-Cycle Earnings Guide – Too Early to Get Excited

We see Q2 earnings as a continuation of trends we saw in Q1. It is too early for the SaaS names (NOW, HUBS etc.) to show significant AI upside, which means there can't be a major reversal here yet. Infra names like DDOG will show ongoing momentum. We like MSFT here.

Raimo's Read on Q2: We expect another volatile earnings season in software. Overall spending trends are steady but there is the risk of a crowding-out effect, which was apparent by the recent IBM profit warning. However, that seemed more capex than opex related. The bigger issue is that we are still in the early innings on the AI monetization side for many of our names. This means the core issue for our space still exists – how do you prove AI success when overall numbers are not moving higher. We expect steady numbers for SaaS names like NOW or HUBS but that is likely not enough to change the sentiment on these names as the AI part is still too small to trigger major estimate increases. Investors want to see acceleration stories (see SNOW last quarter). Here, we think DDOG remains well-positioned as the growing AI momentum drives the need for more DDOG observability (and hence higher estimates). Microsoft could also show a small acceleration in Azure growth and might get revisited again. Lastly, we believe the payroll names have a good set-up.

MSFT – Small Acceleration and Low Expectations: We like MSFT for Q2 earnings. The name has not been in the spotlight for investors in recent quarters. We do not expect a major turnaround of this situation, but do acknowledge that Azure growth could show a small growth acceleration in the low 40% range (remember guidance is 39-40% YoY). Management will likely talk about the usage of its own LLMs, which shows the growing independence from the frontier model providers. Lastly, buy-side capex expectations seem to be in the \$250-270bn range already, which should limit negative surprises. In other words, there does not seem to be a strong catalyst, but solid numbers with a backdrop of very low expectations.

HCM/Payroll Software – Healthy Beat & Raise Potential Against Low Expectations: We see constructive set-ups for Paycom and Paylocity with muted sentiment for back-office HCM/ payroll peers pairing well with potential for solid beat & raise quarters. For PAYC, consensus is modeling ~7% recurring revenue ex-float growth and muted adj. EBITDA margin expansion, which leaves room for a modest 1-1.5% beat and a slight raise to FY26 total revenue and adj. EBITDA guidance. Paylocity also has a relatively undemanding set-up with consensus expecting growth to decelerate ~200bps to 9.6% y/y and Q2 adj. EBITDA to contract ~200bps y/y (~135bps ex-float). Further, PCTY is reporting its fiscal Q4 2026 quarter where it is expected to give initial

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FY27 guidance, where we see bias for in-line to slight upside to consensus expectations that call for recurring revenue ex-float growth to decelerate to ~8% exiting FY27.

AI Infrastructure Peers - Best Set-up for DOCN Following Recent Underperformance, CRWV/

WYFI More 2H Story: We see a more favorable sentiment backdrop for the AI infrastructure pure-play names entering Q2 after the space has seen pressure from elevated concerns on component costs, competition and customer concentration risk (CRWV -37%, DOCN -30%, WYFI -30% last month vs. IGV +5%). However, we see these risks skewed more towards large players in the space (e.g. CRWV, ORCL) and hence, see the recent weakness creating an attractive entry point for DOCN that positively pre-announced earlier this month that came with ~29% Q2 total revenue growth, +\$550mn in Q/Q RPO and increased FY27/FY28 capacity expansion expectations (see [DigitalOcean: Positive Pre-Announcement Corroborates Capacity-Driven Acceleration Story](#), 7/7/26). For CRWV and WYFI, we see a better set-up in 2H26 as Q2 is expected to be the trough in terms of profitability and revenue growth for the two companies respectively, that are both seeing short-term noise from large capacity deployments that are coming online (see within for details).

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Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	Old	New	20-Jul-26	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
U.S. Software	Pos	Pos										
Atlassian (TEAM)	OW	OW	96.43	112.00	112.00	-	5.45	5.45	-	6.64	6.46	-3
CoreWeave, Inc (CRWV)	EW	EW	73.06	120.00	90.00	-25	-3.76	-4.13	-10	-3.70	-3.32	10
Datadog, Inc. (DDOG)	OW	OW	263.20	260.00	290.00	12	2.39	2.39	-	2.80	2.80	-
DigitalOcean (DOCN)	OW	OW	119.09	184.00	160.00	-13	1.32	1.44	9	1.18	1.02	-14
Dynatrace, Inc. (DT)	OW	OW	44.71	44.00	48.00	9	1.95	1.95	-	2.22	2.22	-
IBM Corp. (IBM)	OW	OW	213.00	350.00	288.00	-18	12.36	12.36	-	13.12	13.12	-
OpenText Corp. (OTEX)	EW	EW	23.33	27.00	27.00	-	4.19	4.18	-	4.42	4.40	-
Paycom (PAYC)	EW	EW	149.71	148.00	154.00	4	10.73	10.71	-	12.65	12.65	-
Paylocity Holding Corp (PCTY)	EW	EW	127.29	128.00	128.00	-	8.08	8.12	-	8.83	8.84	-
SAP SE (SAP)	OW	OW	158.35	257.00	255.00	-1	8.54	8.49	-1	10.11	10.01	-1
ServiceNow, Inc. (NOW)	OW	OW	104.70	134.00	134.00	-	4.01	4.01	-	5.02	5.02	-
WhiteFiber, Inc. (WYFI)	EW	EW	27.13	27.00	29.00	7	-0.74	-0.84	-14	-0.29	-0.33	-14

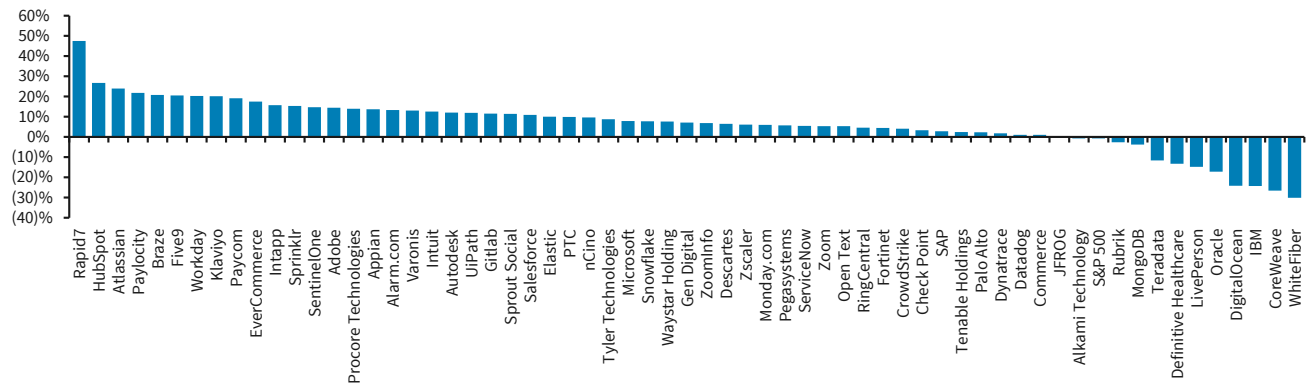
Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative.

Summary of Rating, Price Target, Model Changes

- **Atlassian:** We maintain our Overweight rating and our PT of \$112. This valuation is now based on ~15x EV/CY27E FCF (unchanged) and CY27E FCF of ~\$2.1 bil (prior: ~\$2.12 bil). We updated some of our revenue estimates for TEAM (more below) to better reflect our expectations for its upcoming FY27 guide.
- **CoreWeave:** We maintain our Equal Weight rating and lower our price target to \$90 (from \$120) based on 36x CY27E EV/CY27E adj. EBIT (from 43x) and CY27E adj. EBIT of \$3.61bn (unchanged). We lower our valuation multiple to reflect lower valuation levels for AI infrastructure peers.
- **Datadog:** We maintain our Overweight rating, and raise our PT to \$290 (from \$260) to reflect our stronger expectations for DDOG's near-term growth algorithm. Our PT is now based on ~75x CY27E FCF (prior: ~67x CY27E FCF) on our CY27 FCF estimate of ~\$1,357mn (unchanged).
- **DigitalOcean:** We maintain our Overweight rating and lower our PT to \$160 (from \$184) based on 36x CY30E EPS of \$6.20 discounted back to CY27E (implying \$4.66, from \$6.04 implying \$4.60)) to reflect lower peer group valuation levels. We updated our model slightly to better account for adj. EBITDA seasonality expectations in 2H26/1H27.
- **Dynatrace:** We maintain our Overweight rating, and raise our price target to \$48 (from \$44) to reflect our slightly more optimistic expectations for FY27 upside. Our PT is based on ~20x CY27E EV/FCF (prior: ~18x CY27E EV/FCF), and our CY27E FCF estimate of ~\$677mn (unchanged).
- **IBM:** We maintain our Overweight rating and lower our price target to \$288 (from \$350) based on 18x EV/CY27E uFCF (from 21x) and CY27E uFCF of \$18.4bn (unchanged). We lower our price target to account for IBM's weaker than expected pre-announcement and lower peer group valuation levels.
- **Paycom:** We maintain our Equal Weight rating and raise our price target to \$154 (from \$148) based on 13x EV/CY27E adj. FCF and CY27E FCF of \$617mn (from \$610mn) and update our model primarily to better reflect our expectations for Q3/Q4 revenue and cash flow seasonality.
- **OpenText:** We maintain our Equal Weight rating and our price target of \$27. This valuation is based on ~10x CY27 uFCF (unchanged) and FCF of \$1.20bn (from \$1.21bn). We updated our model slightly to better reflect our expectations for its upcoming FY27 guide.
- **ServiceNow:** We maintain our Overweight rating and price target of \$134 based on 20x EV/CY27E FCF of \$6.91bn (both unchanged). We update our model primarily to account for updated FX impacts.
- **WhiteFiber:** We maintain our Equal Weight rating and raise our price target to \$29 (from \$27) based on 15x (from 14x) CY29E adj. EPS of \$2.56 discounted back to CY27E (implying \$1.97). We update our model to better account for our expectations of the NC-1 capacity ramp and raise our multiple slightly to account for higher peer group valuation levels for AI infrastructure names relative to our last model update.

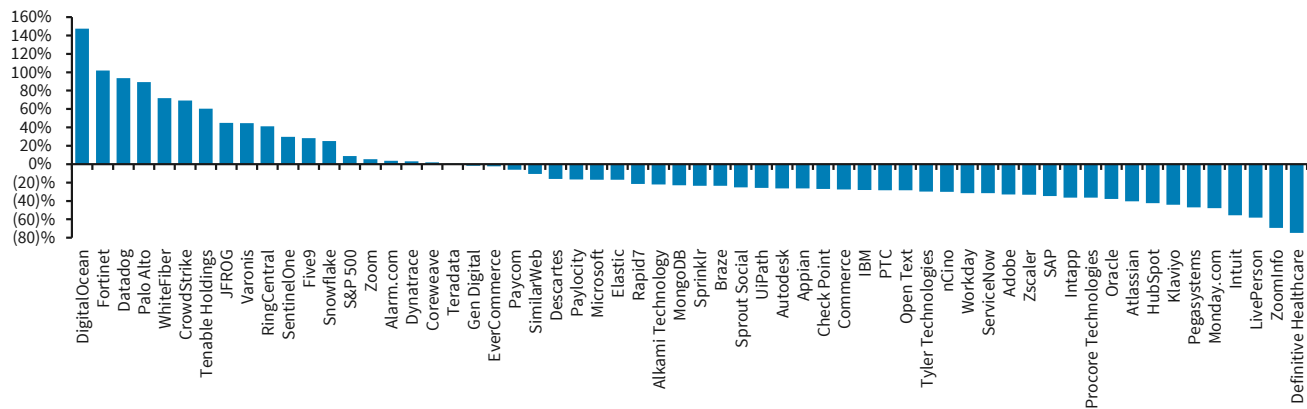
Recent Price Performance and Current Short Interest

FIGURE 1. Month-to-Date Price Performance



Prices as of 7/20/2026
Source: Bloomberg, Barclays Research

FIGURE 2. Year to Date Price Performance



Prices as of 7/20/2026
Source: Bloomberg, Barclays Research

FIGURE 3. WYFI / PEGA / KVVO short interest has increased the most since April 15. Most companies saw an increase in short interest in the last 3 months, though SPT / PAYC short interest decreased by greater than 200bps.

Short Interest % of Float			
Company	7/15/2026	4/15/2026	BPS Change
SPT	9.4%	11.6%	-218bps
PAYC	9.5%	11.6%	-214bps
DOCN	13.7%	15.3%	-159bps
OTEX	5.1%	5.9%	-77bps
SMWB	1.3%	1.6%	-22bps
MSFT	1.2%	1.1%	8bps
DT	3.6%	3.3%	28bps
DDOG	4.5%	3.9%	59bps
CMRC	9.7%	9.0%	63bps
PCTY	6.4%	5.6%	88bps
APPN	16.9%	15.5%	131bps
IBM	3.7%	2.4%	131bps
GTM	19.8%	17.6%	222bps
NOW	6.0%	3.8%	227bps
CRWV	21.5%	18.8%	268bps
TEAM	10.8%	8.0%	275bps
FIVN	11.7%	8.6%	311bps
TDC	18.3%	14.4%	392bps
FROG	10.2%	5.8%	434bps
HUBS	12.4%	7.1%	525bps
MNDY	20.2%	14.8%	539bps
KVVO	16.6%	8.9%	765bps
PEGA	18.1%	9.2%	885bps
WYFI	36.2%	23.7%	1249bps
Median	10.5%	8.8%	177bps

Source: Bloomberg

FIGURE 4. Median short interest for our on-cycle coverage increased ~180bps since April 15

Short Interest % of Float		
Company	7/15/2026	4/15/2026
WYFI	36.2%	23.7%
CRWV	21.5%	18.8%
MNDY	20.2%	14.8%
GTM	19.8%	17.6%
TDC	18.3%	14.4%
PEGA	18.1%	9.2%
APPN	16.9%	15.5%
KVVO	16.6%	8.9%
DOCN	13.7%	15.3%
HUBS	12.4%	7.1%
FIVN	11.7%	8.6%
TEAM	10.8%	8.0%
FROG	10.2%	5.8%
CMRC	9.7%	9.0%
PAYC	9.5%	11.6%
SPT	9.4%	11.6%
PCTY	6.4%	5.6%
NOW	6.0%	3.8%
OTEX	5.1%	5.9%
DDOG	4.5%	3.9%
IBM	3.7%	2.4%
DT	3.6%	3.3%
SMWB	1.3%	1.6%
MSFT	1.2%	1.1%
Median	10.5%	8.8%

Source: Bloomberg

Earnings Calendar

FIGURE 5. Upcoming Earnings Calendar

Monday	Tuesday	Wednesday	Thursday	Friday
20-Jul	21-Jul	22-Jul	23-Jul	24-Jul
	PEGA	IBM NOW	SAP	
27-Jul	28-Jul	29-Jul	30-Jul	31-Jul
		MSFT	FIVN	
3-Aug	4-Aug	5-Aug	6-Aug	7-Aug
	TDC	GTM DOCN* KVYO PCTY	APPN CMRC DDOG DT* FROG HUBS* OTEX PAYC SPT TEAM	
10-Aug	11-Aug	12-Aug	13-Aug	14-Aug
MNDY		CRWV* SMWB*	WYFI*	

* Denotes Bloomberg estimate
Source: Company data, Bloomberg, StreetAccount.

Valuation Table

FIGURE 6. Barclays Valuation Table

Category	Company	Ticker	Rating	Current price	Price target	Market Cap USD (\$,mn)	P/E		EV/Sales		EV/FCF	
							2026E	2027E	2026E	2027E	2026E	2027E
Mega Cap	IBM	IBM	OW	213.00	288	199,475	17.2x	16.2x	3.5x	3.4x	16.2x	15.3x
	Intuit	INTU	OW	293.82	443	83,901	11.6x	10.1x	3.7x	3.3x	10.2x	9.1x
	Microsoft	MSFT	OW	402.29	545	2,995,049	22.0x	18.3x	8.2x	6.9x	60.4x	56.9x
	Oracle	ORCL	OW	121.38	250	353,823	15.4x	12.7x	5.6x	4.1x	nm	nm
	Salesforce	CRM	OW	173.79	236	155,494	12.4x	10.6x	4.0x	3.6x	12.2x	11.0x
	SAP	SAP	OW	158.35	255	183,644	18.6x	15.8x	4.4x	4.0x	17.4x	15.6x
Front Office	ServiceNow		OW	104.70	134	111,160	25.1x	20.9x	6.6x	5.6x	19.0x	15.6x
	Commerce	CMRC	UW	2.99	3	287	6.4x	5.9x	1.1x	1.0x	18.9x	15.8x
	Braze	BRZE	OW	26.19	31	3,245	42.8x	33.2x	3.5x	3.0x	35.2x	26.3x
	HubSpot	HUBS	OW	231.21	270	12,454	17.7x	14.2x	3.1x	2.7x	15.3x	12.7x
	Klaviyo	KVYO	OW	18.15	25	5,329	20.9x	16.5x	2.9x	2.4x	18.3x	14.2x
	Similarweb	SMWB	OW	6.69	5	652	45.7x	33.9x	2.0x	1.8x	32.9x	22.7x
	Sprinklr	CXM	UW	5.95	6	1,562	12.2x	11.7x	1.3x	1.3x	7.5x	7.3x
	Sprout Social	SPT	OW	8.41	9	540	9.1x	7.8x	0.9x	0.8x	7.9x	6.1x
	ZoomInfo	GTM	EW	3.13	5	1,074	2.8x	2.8x	1.9x	1.9x	6.3x	6.1x
Back-Office/Payroll	Descartes	DSGX	OW	73.68	89	6,469	27.0x	24.5x	7.6x	6.9x	21.0x	18.8x
	Paycom	PAYC	EW	149.71	154	7,350	14.0x	11.8x	3.6x	3.4x	14.3x	12.7x
	Paylocity	PCTY	EW	127.29	128	7,054	15.0x	13.3x	3.9x	3.6x	16.3x	15.2x
	Workday	WDAY	OW	147.22	200	39,459	13.9x	11.5x	3.6x	3.2x	12.1x	10.3x
DevOps/Product Management	Gitlab	GTLB	UW	34.07	25	6,136	41.1x	34.0x	5.3x	4.6x	25.2x	22.0x
	Atlassian	TEAM	OW	96.43	112	27,505	16.2x	13.5x	4.0x	3.4x	17.6x	13.9x
	Jfrog	FROG	OW	90.43	88	9,336	95.2x	87.2x	13.6x	12.1x	57.6x	49.7x
	Monday.com	MNDY	OW	76.75	100	4,063	16.7x	13.5x	1.9x	1.7x	10.0x	8.3x
Data Analytics	Elastic	ESTC	OW	62.74	68	7,188	20.7x	16.5x	3.4x	2.9x	17.1x	13.6x
	MongoDB	MDB	OW	323.36	387	27,521	54.4x	45.8x	8.6x	7.4x	45.6x	38.0x
	Snowflake	SNOW	EW	274.34	285	105,880	nm	96.9x	17.4x	13.9x	78.8x	57.6x
	Teradata	TDC	UW	30.60	28	3,050	11.7x	11.2x	1.7x	1.7x	4.4x	8.0x
Infrastructure Software	Appian	APPN	UW	26.03	23	1,960	27.8x	23.1x	2.5x	2.2x	28.1x	22.3x
	Coreweave	CRWV	EW	73.06	90	43,294	nm	nm	5.2x	2.7x	nm	nm
	Datadog	DDOG	OW	263.20	290	95,777	nm	94.0x	21.3x	17.6x	84.0x	68.0x
	DigitalOcean	DOCN	OW	119.09	160	16,357	82.7x	nm	14.5x	9.6x	nm	74.8x
	Dynatrace	DT	OW	44.71	48	13,826	23.7x	20.8x	5.7x	4.9x	22.3x	19.0x
	Pegasystems	PEGA	OW	31.69	48	5,397	11.7x	10.5x	2.5x	2.2x	8.7x	7.5x
	OpenText	OTEX	EW	23.33	27	6,051	5.4x	5.1x	2.1x	2.0x	9.9x	9.2x
	UiPath	PATH	EW	12.16	14	6,741	16.5x	15.6x	3.1x	2.9x	13.4x	11.8x
	WhiteFiber	WYFI	EW	27.13	29	1,057	nm	nm	9.4x	5.4x	nm	nm

For full disclosures on each covered company, including details of our company-specific valuation methodology and risks, please refer to <https://publicresearch.barcap.com>. Source: Bloomberg, Barclays Research. Prices as of July 20th, 2026. Industry view: Positive. OW = Overweight, EW = Equal Weight, UW = Underweight, RS = Rating Suspended

Must See Charts For Q2

FX Fluctuations

FX tailwinds remain broadly positive in 2Q26 in general despite recent USD strength. While the USD strengthened somewhat since last quarter, it remains weaker on a y/y basis compared to 2Q25. Excluding the Japanese yen, most major currencies were either stronger against the USD or largely flat y/y on average during the quarter. Although there was a recent rebound of dollar strength near the end of Q2, the weaker USD on average over the whole quarter suggests a modest reported revenue tailwind for companies with significant international exposure.

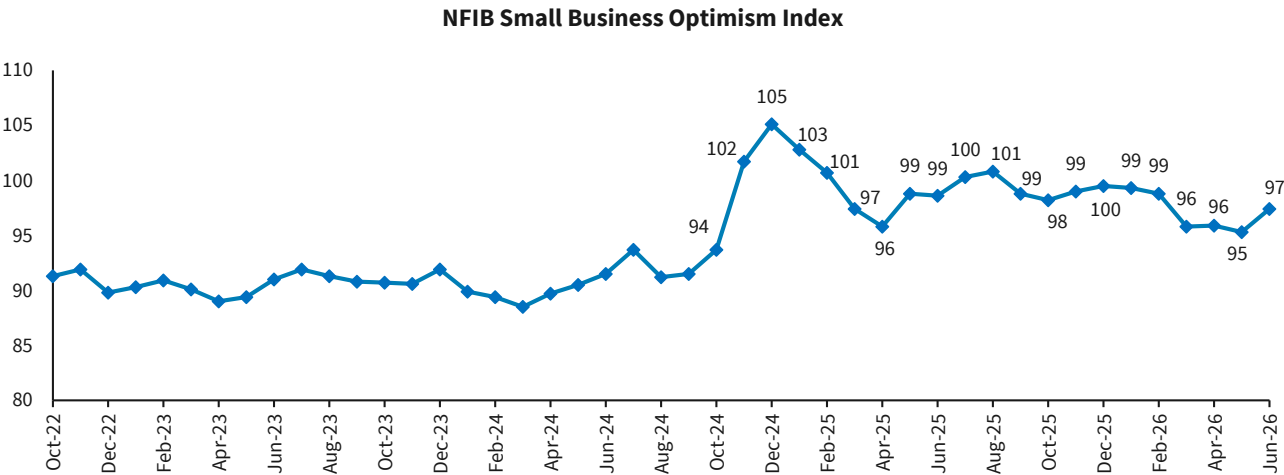
FIGURE 7. Average US Dollar Cross Rates with Other Major Currencies (1 USD Expressed in Foreign Currency)

	Current Spot Rate	Q1 23A	Q2 23A	Q3 23A	Q4 23A	Q1 24A	Q2 24A	Q3 24A	Q4 24A	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26A	Q2 26A	Q3 26E	Q4 26E
USD/EUR	0.88	0.93	0.92	0.92	0.93	0.92	0.93	0.91	0.94	0.95	0.88	0.86	0.86	0.85	0.86	0.88	0.88
YoY growth vs. Prior Period	2%	5%	-2%	-7%	-5%	-1%	1%	-1%	1%	3%	-5%	-6%	-8%	-10%	-2%	2%	2%
USD/GBP	0.75	0.82	0.80	0.79	0.81	0.79	0.79	0.77	0.78	0.79	0.75	0.74	0.75	0.74	0.75	0.75	0.75
YoY growth vs. Prior Period	1%	10%	0%	-7%	-5%	-4%	-1%	-3%	-3%	1%	-5%	-4%	-4%	-7%	0%	1%	-1%
USD/JPY	162.2	132.4	137.5	144.6	147.8	148.4	155.8	148.9	152.4	152.5	144.6	147.5	154.2	156.9	159.4	162.2	162.2
YoY growth vs. Prior Period	10%	14%	6%	4%	5%	12%	13%	3%	3%	3%	-7%	-1%	1%	3%	10%	10%	5%
USD/AUD	1.43	1.46	1.50	1.53	1.54	1.52	1.52	1.49	1.53	1.59	1.56	1.53	1.52	1.44	1.41	1.43	1.43
YoY growth vs. Prior Period	-6%	6%	7%	4%	1%	4%	1%	-2%	0%	5%	3%	2%	-1%	-10%	-10%	-6%	-6%
USD/CAD	1.41	1.35	1.34	1.34	1.36	1.35	1.37	1.36	1.40	1.43	1.38	1.38	1.39	1.37	1.38	1.41	1.41
YoY growth vs. Prior Period	2%	7%	5%	3%	0%	0%	2%	2%	3%	6%	1%	1%	0%	-4%	0%	2%	1%

Source: Bloomberg, Barclays Research

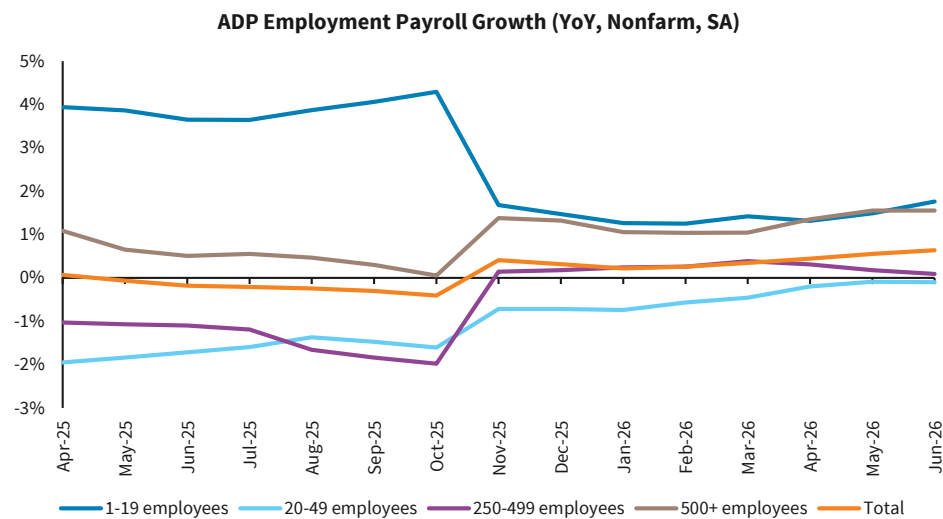
Business & Employment Charts Indicate Improving Trends Exiting Q2

FIGURE 8. The NFIB Small Business Optimism Index was relatively stable in aggregate throughout Q2, though slightly down vs. Q1.



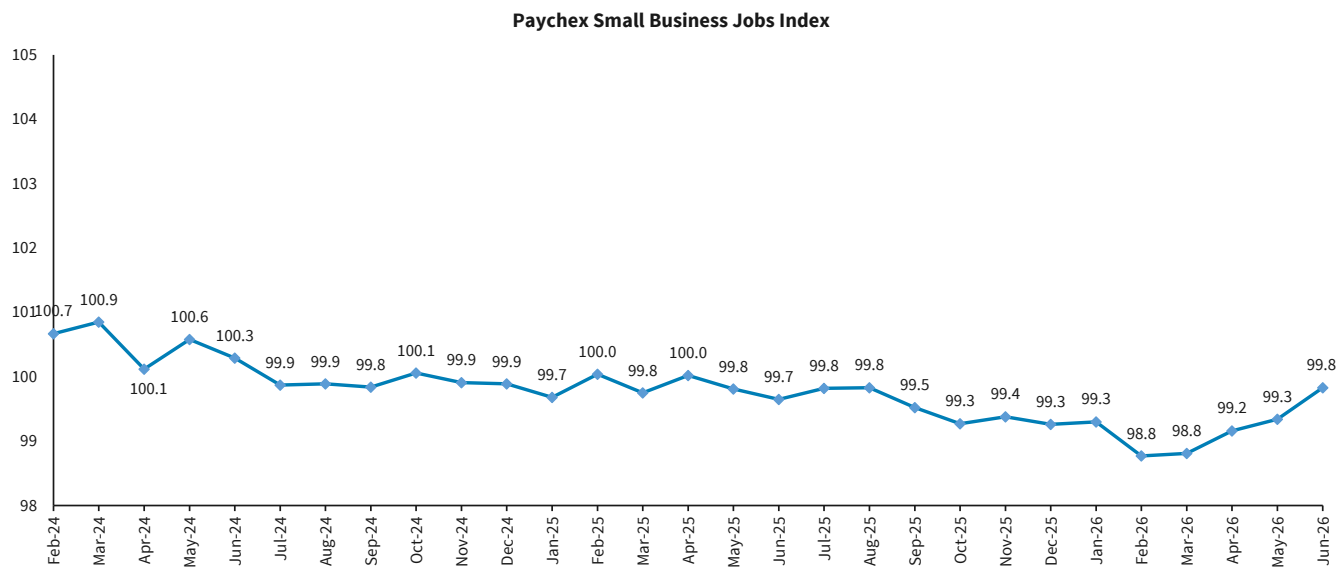
Source: NFIB

FIGURE 9. According to ADP, Q2 payroll growth improved slightly across almost every employee group.



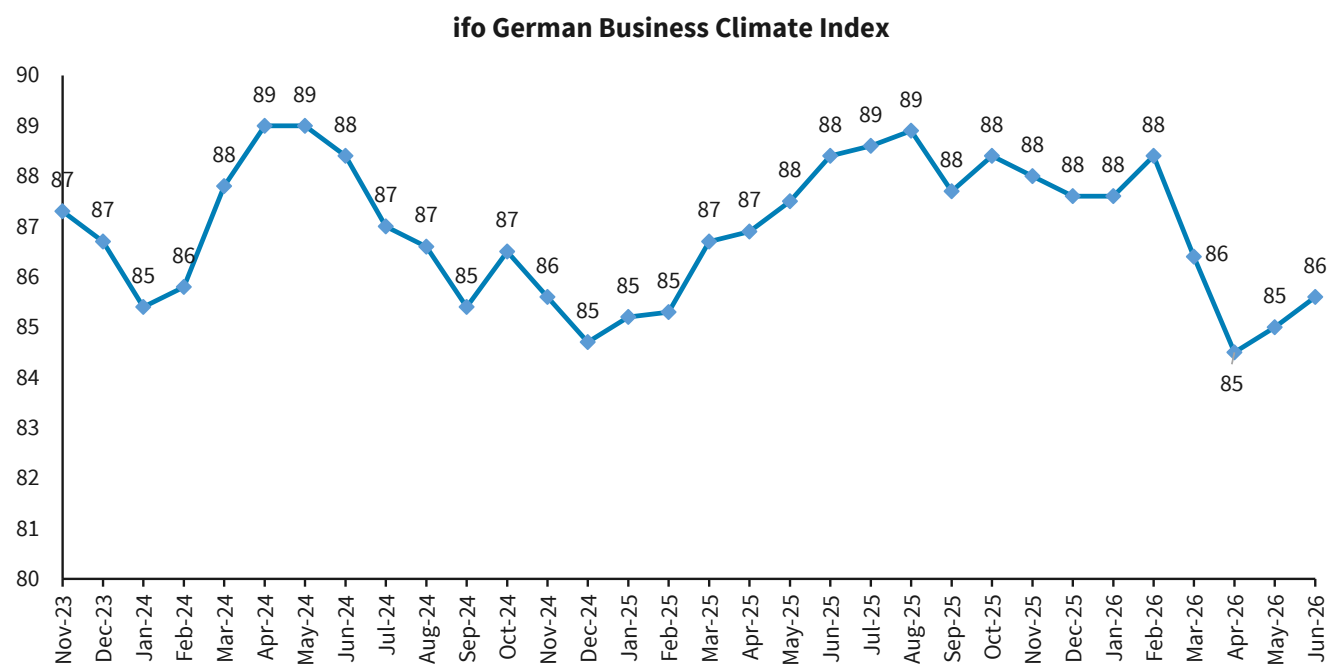
Source: ADP Employment Report

FIGURE 10. The pace of small business employment growth increased again in June, which marks the first four-month consecutive increase since November 2020.



Note: This index is a "monthly, up-to-date measure of change in small business employment (<50 employees/business) in the U.S. The Small Business Jobs Index analyzes YoY work count changes, trending the results to reveal movement in small business employment." ([link](#))
Source: Paychex

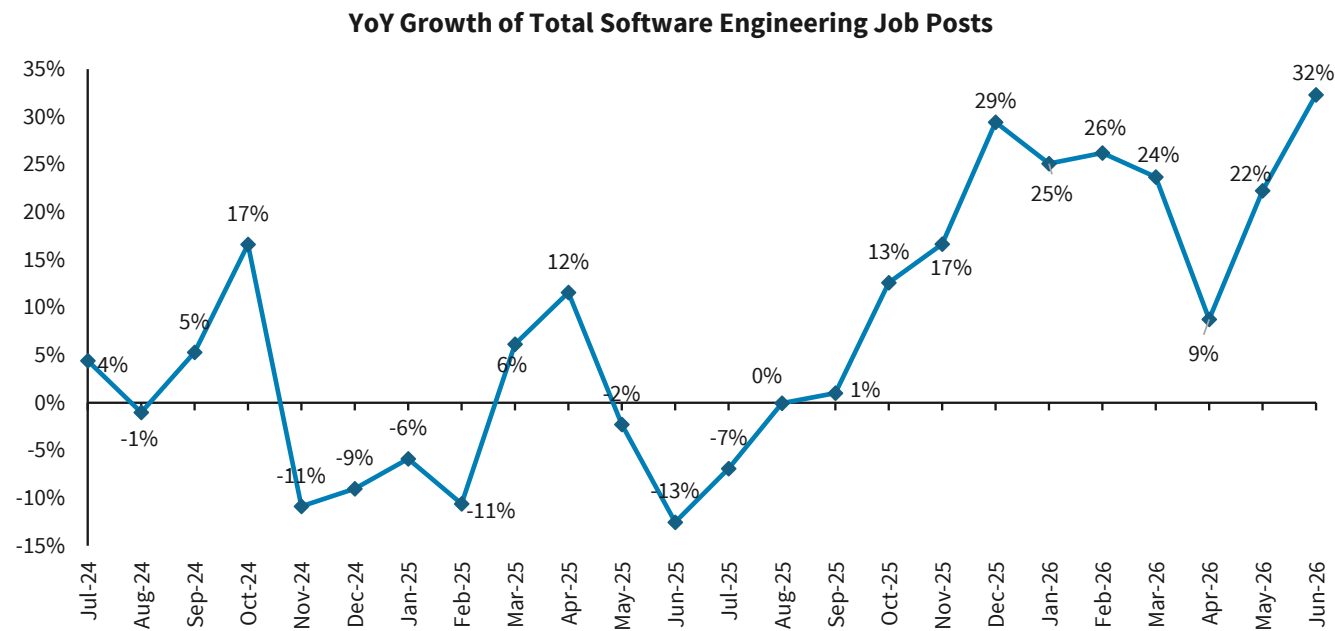
FIGURE 11. The ifo German Business Climate Index slightly recovered in May / June after a dip in March / April.



Note: "The ifo Business Climate Index is a highly-regarded early indicator of economic developments in Germany published on a monthly basis" ([link](#)).
Source: ifo Institute, Bloomberg

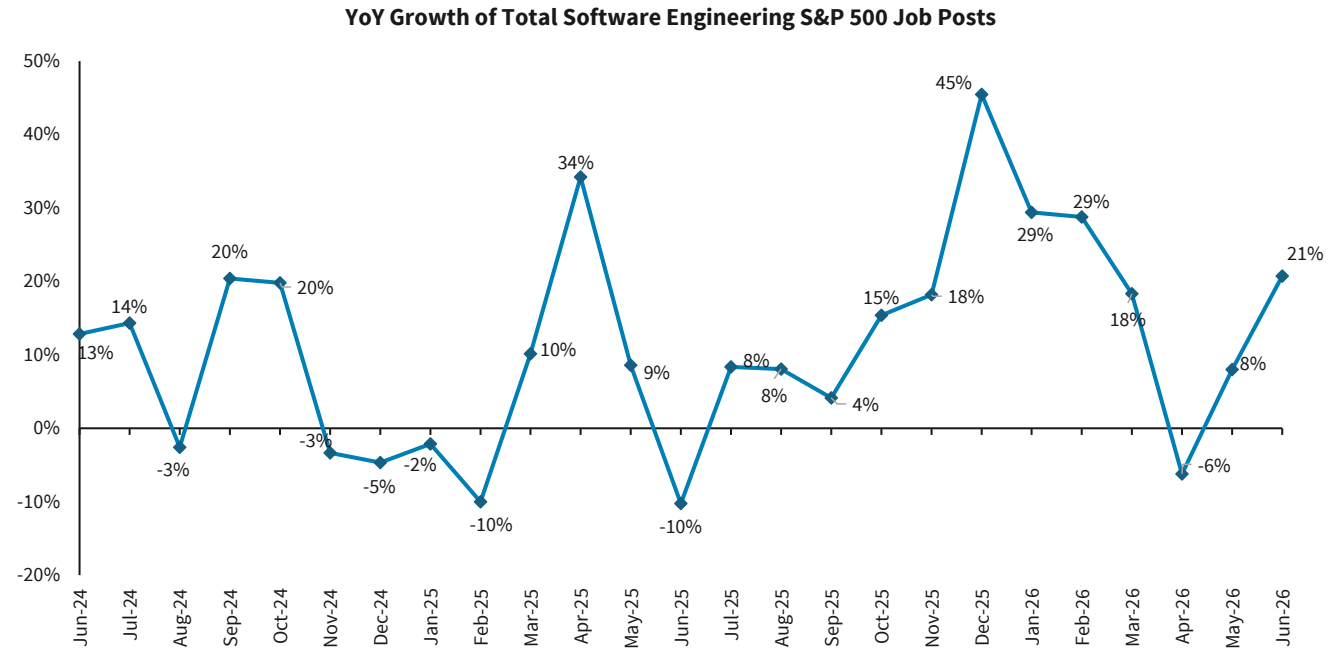
Developer Job Posts Highlight Positive Growth Trends Exiting Q2

FIGURE 12. Total software engineering job posts YoY growth highlight stronger momentum exiting Q2 (+32% y/y in June 2026)



Source: Lightcast Data, Barclays Research

FIGURE 13. S&P 500 software engineering related job posts YoY growth showed positive growth in aggregate in Q2 (though decelerated vs. Q1)



Source: Lightcast Data, Barclays Research

Company Setups

Appian (UW/POS, PT \$23) – Conservative Expectations and Potential for Better Momentum to Continue Sentiment Rebound

Following a challenging start to the year (APPN -37% from 1/1/26 to 4/15/26 vs. IGV -19%), Appian shares have recovered some of its earlier losses following better Q1 momentum (APPN +25% last 3 months vs. IGV +11%). We see a manageable set-up for Appian during its upcoming 2Q26 earnings with consensus modeling Q2 cloud subscription revenue growth to decelerate from ~24.7% y/y in Q1 (~20% in cc) to ~19.0% in Q2 (est. ~18.3% in cc), which seems conservative given APPN's improving sales efficiency and growing AI usage highlighted during APPN's recent investor day (see [Appian Corporation: Investor Day Provides More Clarity On Several Fronts](#), 5/15/26). We see potential for annual cloud subscription revenue growth to come in closer to 19.5-20% (in cc), or approx. 20.5-21% y/y reported in an upside case (~1.5% beat). Consensus expectations for Q2 term license growth of -6.6% y/y seem conservative given an easier Q2 comp (3% term license growth in 2Q25 vs. 13% in 1Q25) and could offer some upside, but likely limited given Q2 is typically the seasonally weakest term license quarter. We see more opportunity for out performance in Professional Services, where cons is modeling ~8% y/y growth vs. 30.5% growth in Q4 (albeit on a 14pt tougher comp) and could see PS growth come in closer to the mid-teens percentage range. Overall, this could lead to a healthy +3% total revenue beat, with opportunity for a slight guidance raise for FY26 cloud subscription revenue guidance as the improving momentum outlined at APPN's Investor Day seems inconsistent with consensus expectations calling for cloud subscription revenue growth to exit the year ~15% y/y (vs. 20% in Q1). Given the low sentiment on the name and relative high short interest (~17% of float as of 7/15/26 vs. ~15.5% as of 4/15/26), we could see results helping continue the improved momentum seen in recent months and lead to a small positive reaction, but await more confidence around a durable revenue re-acceleration and margin expansion before becoming more positive. We maintain our Underweight rating.

FIGURE 14. Barclays Research vs. Consensus Estimates - Appian

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
Cloud Subscription	126.9	127.2	(0)%	132.9	132.0	1%
y/y growth	19%	19%		17%	16%	
On-Premises Subscription (Term)	16.8	16.5	2%	24.8	25.4	(2)%
y/y growth	-5%	-7%		0%	2%	
Software and Subscriptions	143.7	143.9	(0)%	157.7	157.6	0%
y/y growth	15%	15%		14%	14%	
Maintenance and Support	8.0	8.2	(2)%	8.4	8.7	(4)%
y/y growth	0%	2%		-4%	-1%	
Professional Services	41.0	41.2	(0)%	42.6	42.2	1%
y/y growth	8%	8%		7%	6%	
Total Revenue	192.7	193.3	(0)%	208.7	208.5	0%
y/y growth	13%	16%		12%	12%	
Gross Profit, Non-GAAP	138.7	139.1	(0)%	153.6	154.9	(1)%
% margin	72.0%	72.0%		73.6%	74.3%	
EBITDA, Adjusted	7.4	7.2	3%	30.0	30.3	(1)%
% margin	3.9%	3.7%		14.4%	14.5%	
Net Income, Non-GAAP	0.0	0.4	nm	22.1	23.3	(5)%
Diluted EPS, Non-GAAP	0.00	0.00	nm	0.30	0.32	(8)%

Source: Barclays Research, Bloomberg consensus

Atlassian (OW/POS, PT \$112) – Expecting FY27 Guide to Be a Clearing Event Ahead of a Difficult Data Center Comp

We believe that signs of TEAM's paid seat expansion and cross-sell motion being stable-to-improving vs. 3Q26 could provide investors more certainty around upside to TEAM's initial FY27 Cloud rev. guide. We believe that 4Q is a pivotal quarter for investor confidence in TEAM's FY27 growth algorithm as comps only get more difficult from here. Current FY27 Street estimates are factoring in a difficult Data Center compare as well as TEAM's prevailing Cloud guidance philosophy (slightly closer-to-the-pin initial FY guidance) for FY27, which drives a less favorable set up into 4Q26 earnings. That said, a healthy 4Q26 Cloud rev. beat and a subscription ARR growth guide in the mid-to-high teens could drive a more investable set-up exiting FY26.

Adjusting our Data Center estimates to better reflect the upcoming FY27 compare. TEAM has noted that some of the Data Center customers that they expected to migrate closer to the end-of-life date (in 2029) bought more seats in 3Q26 ahead of the Data Center price increase. This was a primary driver of the \$50mil. Data Center outperformance in Q3, and also drove TEAM to continue to reiterate guidance for Data Center revenue growth to be negative in FY27 (on top of the ~\$169mn that it included in the initial FY26 Data Center guide from the Data Center revenue recognition changes). Moving forward, TEAM expects that Data Center revenue growth will primarily only be driven by pricing. With this comp in mind and given the medium-term growth algorithm for this segment (only pricing), we are lowering our FY27 Data Center revenue growth estimate from -1.5% y/y growth to -11% y/y growth. We expect TEAM to be extra conservative with its initial Data Center revenue estimate given the difficult compare and the plethora of moving parts in its model (including migrations, which can be difficult to forecast).

- Given the conservatism we expect in TEAM's FY27 guide, we are also slightly lowering our Cloud estimate for the year from ~25.5% y/y growth to ~24.8% y/y growth. While we expect migrations to remain healthy until Data Center end-of-life, the migration contribution from a percentage basis should normalize over time (we are expecting a mid-single digit contribution FY27 guide vs. the mid-to-high single digit contribution guided for FY26).

FY27 Subscription ARR guide is the key number to focus on for TEAM. In order to cut through some of the recent revenue noise with changes to Data Center recognition changes, TEAM disclosed its subscription ARR at its Investor Forum in May (see note [here](#)), which is being driven almost entirely by its Cloud expansion and early traction with AI products. While we expect TEAM to be conservative with its initial guide (expecting ~16% y/y subscription ARR guide), recent results highlighted a stronger picture than previously viewed (accelerating in the last two quarters), which can provide more certainty around its underlying near-term growth algorithm.

FIGURE 15. Barclays Research vs. Consensus Estimates - Atlassian

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	4Q 26E	4Q 26E	vs. cons.	1Q 27E	1Q 27E	vs. cons.
Total Revenue	1,658.2	1,659.0	(0)%	1,676.0	1,676.0	0%
<i>y/y growth</i>	19.8%	19.8%		17.0%	17.0%	
Cloud Revenue	1,164.3	1,168.2	(0)%	1,237.2	1,241.7	(0)%
<i>y/y growth</i>	25.5%	25.9%		24.0%	24.5%	
Data Center Revenue	413.1	414.6	(0)%	372.6	366.7	2%
<i>y/y growth</i>	8.5%	8.9%		0.0%	-1.6%	
Marketplace and Other Revenue	80.8	81.0	(0)%	66.2	66.7	(1)%
<i>y/y growth</i>	6.5%	6.7%		6.5%	7.2%	
Gross Profit, non-GAAP	1,459.2	1,463.3	(0)%	1,458.2	1,451.9	0%
<i>% margin</i>	88.0%	88.2%		87.0%	86.6%	
Operating Income, non-GAAP	505.8	506.5	(0)%	469.3	438.7	7%
<i>% margin</i>	30.5%	30.5%		28.0%	26.2%	

Source: Barclays Research, Bloomberg consensus

CoreWeave (EW/POS, PT \$90) – Sentiment More Balanced but 2H Profitability Ramp May Be Needed to Drive Upside Amid Industry Overhang

We are not sure Q2 will offer significant upside to shares despite potential for continued RPO strength and a slight revenue re-acceleration. True, shares have drawn down materially from 52-week highs (CRWV - 38% last 3 months vs. IGV +7.5%) and these factors (RPO/revenue strength) should help corroborate CRWV's leadership in the large AI infrastructure market. However, we note Q2 is expected to see the trough in terms of margins from the mechanical ST headwinds from CRWV's significant build-out (2.6% Q2 cons adj. EBIT margin est.), which may limit share follow-through amid continued headline noise around rising component costs, data center delays and increased competition (see [U.S. Software: Reported Meta Cloud Business Plans Risk Turning Major AI Infra Customer into Competitor](#), 7/1/26). Further, we note mgmt messaging that CRWV is largely sold out of capacity in the short-term, which paired with more limited deal announcements intra-quarter (e.g. vs. deals with [Meta](#) and [Anthropic](#) highlighted in Q1) may lead to a smaller RPO add than we've seen in recent quarters. Hence, we see CRWV's Q3/Q4 prints offering greater likelihood for positive sentiment changes as the normalization of CRWV's capacity adds drives strong margin expansion.

For Q2, consensus is modeling revenue of \$2.57bn (~112% y/y growth, in-line with Q1), which seems supportive of another strong MSD beat (vs. 5.6% in Q1) given Q1 ending active power of 1,020 MWs and CRWV's 3-qtr avg of ~\$10.7mn ARR/MW (assuming one-quarter lag, e.g. Q4 ARR divided by Q3 ending active power) that implies closer to ~\$2.7bn of revenue, or a ~6% beat. We see this potential upside case helping corroborate CRWV's tremendous growth opportunity ahead in the AI infrastructure market, but see limited upside to consensus Q3 revenue estimates of \$3.48bn as this implies a healthy ARR/MW step up to \$11.3mn/MW (assuming one-quarter lag) and we note while discussed to be on track, Applied Digital [announced](#) delivery of 75 MWs of operational AI capacity (second building) at its Polaris data center (vs. ~150 MWs (gross) that was discussed for mid-2026 in previous [announcements](#)). Hence, we may see some linearity impact in Q3 that could limit upside to guidance and see more upside potential to Q4 cons expectations. We also expect 2H to see margins begin to normalize more meaningfully (particularly Q4) as CRWV's incremental capacity adds become a smaller percentage of its existing capacity base. We maintain our Equal Weight rating and lower our price target to \$90 (from \$120) based on 36x CY27E EV/CY27E adj. EBIT (from 43x) and CY27E adj. EBIT of \$3.61bn (unchanged). We lower our valuation multiple to reflect lower valuation levels for AI infrastructure peers.

FIGURE 16. Barclays Research vs. Consensus Estimates - CoreWeave

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
Total Revenue	2,554.2	2,567.7	(0.5)%	3,462.8	3,465.4	(0.1)%
y/y growth (%)	110.6%	111.7%		153.7%	153.9%	
Gross Profit, Non-GAAP	1,698.6	1,710.8	(0.7)%	2,337.4	2,337.1	0.0%
% margin	66.5%	66.6%		67.5%	67.4%	
Operating profit, Non-GAAP	62.6	65.6	(4.6)%	222.7	259.9	(14.3)%
% margin	2.5%	2.6%		6.4%	7.5%	
Operating Cash Flow	370	968	(61.8)%	2,844	2,241	26.9%
Adj. CapEx (ex-CIP, CapSW)	8,041	7,912	1.6%	10,224	10,440	(2.1)%
Total CapEx (incl. CIP, CapSW)	7,965	8,008	(0.5)%	9,923	9,429	5.2%

Source: Barclays Research, Bloomberg consensus

Datadog (OW/POS, PT \$290) – AI and Core Momentum Should Continue to Power Acceleration Story

While DDOG shares have significantly outperformed (+119% in last 3 months vs. +13% IGV) since Q1 earnings, we believe this share appreciation is warranted as the company continues to gain momentum with its existing customer base as well as net new enterprises and native AI companies. The bar for Q2 revenue beat (likely ~4-5% vs. 5% in Q1) and Q3 revenue guide (likely ~31% y/y, per our investor conversations) is relatively high, though broad-based customer behavior and DDOG's leading position show no signs of softening. DDOG has historically held a relatively conservative guidance philosophy, so we view its Q2 guide as a clear sign of confidence in its pipeline visibility ahead of the quarter. AI-driven development is leading to an increase in code generation (see more from our AI newsletter [here](#)) at a pace that human engineers cannot realistically review or validate. This dynamic creates a growing need for tools like DDOG to automatically validate code, identify issues, and remove performance or reliability bottlenecks before they impact production systems. As customers write more code faster, which drives higher cloud usage, DDOG will continue to benefit from the need to monitor and validate these expanding software systems (subsequently supporting revenue growth).

Large deal momentum likely to drive continued top-line acceleration. DDOG landed a leading AI model company in Q4 and then two of the world's largest AI research teams in Q1, all of which we expect are continuing to ramp in Q2 (at a healthy rate). The customers landed in Q1 were framed as AI labs within established hyperscalers (not small AI-native startups) that opted for DDOG to accelerate their training infrastructure rather than build in-house. All of these customers contributed to DDOG's all-time record for sequential ARR added in Q1 and the continued healthy growth trends the company saw in April.

Room for raised FY26 top-line guidance: Datadog's 2H implies a steep deceleration vs. Q2 levels, with consensus revenue expectations exiting Q4 hovering around 21.3%. We think there could be room for upside here with expectations for large deals to ramp throughout the year, observability budgets remaining consistent, and migration commentary (particularly around logging opportunities) continuing to remain healthy. As such, Q3 Street revenues screen conservative, and we think the company could guide top-line in the range of \$1,160-\$1,170mn, implying 31-32% y/y growth, while still leaving room for a healthy beat in Q3. On the full year, we think management could raise guidance in the range of \$4,465-\$4,475mn, implying ~30.5% y/y growth at the midpoint on the back of stable end demand.

FIGURE 17. Barclays Research vs. Consensus Estimates - Datadog

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
Total Revenue	1,075.5	1,077.1	(0)%	1,108.4	1,108.1	0%
y/y growth (%)	30.1%	30.3%		25.2%	25.1%	
Gross Profit, Non-GAAP	871.2	869.6	0%	903.4	893.5	1%
% margin	81.0%	80.7%		81.5%	80.6%	
Operating profit, Non-GAAP	231.2	233.4	(1)%	243.9	253.0	(4)%
% margin	21.5%	21.7%		22.0%	22.8%	
Net income, Non-GAAP	212.7	214.9	(1)%	223.5	227.7	(2)%
Non-GAAP EPS	0.57	0.59	(4)%	0.60	0.62	(3)%

Source: Barclays Research, Bloomberg consensus

DigitalOcean (OW/POS, PT \$160) – Limited Surprises Post Pre-Announcement but More Balanced Sentiment Creates Entry Point

We see much of the excitement to DOCN's upcoming Q2 results front-run by the company's recent positive pre-announcement that came with better than expected Q2 results, Q4 exit rate and incremental FY27/FY28 capacity adds (see [DigitalOcean: Positive Pre-Announcement Corroborates Capacity-Driven Acceleration Story](#), 7/7/26). However, we note DOCN shares and the broader AI infrastructure space has seen recent weakness (DOCN -31% last month vs. IGV +4%) following heightened industry concerns and DOCN's [recent equity raise](#), which we believe offers an attractive entry point for LT investors and see potential for mgmt commentary around the better than expected results to serve as a small positive to shares (DOCN +277% from 1/1/26 to 52 week high on 6/15/26 vs. IGV -13%). We maintain our Overweight rating and lower our PT to \$160 (from \$184) based on 36x CY30E EPS of \$5.91 discounted back to CY27E (implying \$4.44) to reflect lower peer group valuation levels.

In the pre-announcement, DOCN noted it expects RPO to exceed \$800mn, representing more than 10x growth from 2Q25 and an increase of over \$550mn sequentially. Additionally, the company expects Q2 revenue growth of ~29% y/y (vs. guidance of 24-25%), adj. EBITDA margin and non-GAAP EPS to be at or above the high end of guidance, and now expects a higher exit 2026 growth rate. Hence, with Q2 KPIs largely known, we expect more of investor focus to be on mgmt commentary around the durability of demand, the updated guided Q4 exit rate (Barclays +33% y/y Q4 revenue exit rate vs. prior guidance of >30%) and commentary on potential cost inflation and CapEx. Mgmt also noted that the RPO strength was driven by multiple new nine-figure deals for inference and cloud products, with the average duration up from 1.6 years to over 3 years, which highlights DOCN's upmarket push and will likely be a focus area on the earnings call. DOCN also secured an additional 20MW of data center capacity coming online in late 2027 and early 2028, increasing its total committed capacity to ~155MW. Following the pre-announcement, DOCN [raised equity](#) (~12.54mn shares for proceeds of ~\$1.47bn) to repurchase ~\$500mn of its 2030 senior convertible notes that were trading at a significant premium, which was explicitly stated to create capacity for capacity expansion. Investors will likely focus less on the mechanics of the convertible repurchase itself and more on what a stronger balance sheet enables from a capacity expansion perspective and FY27/FY28 capacity add expectations, which put together supports potential for a positive reaction post results.

FIGURE 18. Barclays Research vs. Consensus Estimates - DigitalOcean

\$, mn	Barclays 2Q26E	Consensus 2Q26E	Difference vs. cons.	Barclays 3Q26E	Consensus 3Q26E	Difference vs. cons.
Total Revenue	281.1	278.2	1.0%	300.7	297.8	1.0%
y/y growth	28.5%	27.2%		30.9%	29.7%	
Adj. Gross Profit	153.6	148.0	3.8%	162.8	156.6	3.9%
% margin	54.7%	53.2%		54.1%	52.6%	
Adj. EBITDA	110.7	105.9	4.5%	122.7	115.3	6.4%
% margin	39.4%	38.1%		40.8%	38.7%	
Non-GAAP EPS	0.36	0.26	37.3%	0.39	0.29	34.7%
Operating Cash Flow	135.4	91.7	47.7%	144.0	97.2	48.2%
CapEx, incld internal-use software	(45.0)	(47.6)	(5.5%)	(51.1)	(57.0)	(10.3%)
Adj. Free Cash Flow	90.4	44.5	103.2%	92.9	40.2	131.1%

Source: Barclays Research, Bloomberg consensus

Dynatrace (OW/POS, PT \$48) – Stable Quarter, Though Likely Not Enough to Drive Share Inflection

We are expecting a healthy quarter for Dynatrace with a subscription revenue beat similar to Q3 and Q4 (~2% vs. Street), though are unsure if that will be enough to drive a major catalyst for shares. Given timing dynamics of its deals, we do expect upside to current net new ARR estimate of ~\$66mn in constant currency, though believe that more of the upside will originate in the back half of the year when a great percentage of DT's FY24 DPS cohort will be lapping its 3-year contracts. We note that DT's total revenue and subscription revenue growth rates have a slightly more difficult compare from the change in accounting for ODC revenue and other one-time revenue true-ups that it made in FY26. From a guidance perspective, we also believe that we could see a raise earlier this year to ARR in constant currency (likely in Q2), given the company expects a modest shift in NNARR of around 200bps toward the first half (e.g., ~44% to ~46% of the FY NNARR). We believe that investors are looking for more confidence in DT's ARR acceleration, particularly in regards to when the >20% consumption growth and scaling of logs will begin to more materially show up in this metric (mgmt has emphasized the consumption growth as a leading indicator).

- **Our partner check indicated that its Dynatrace business performed largely in line** with expectations during calendar 2Q, with demand trends remaining consistent and customer purchasing activity tracking as anticipated. The partner noted that Dynatrace continues to be viewed as a preferred observability vendor for organizations prioritizing deep application performance monitoring, differentiating itself through strong application-level insights rather than broad platform consolidation. Overall, the pipeline appears healthy, with growing opportunities tied to customers reassessing existing observability platforms.

FIGURE 19. Barclays Research vs. Consensus Estimates - Dynatrace

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	1Q27E	1Q27E		2Q27E	2Q27E	
ARR	2,132.8	2,127.4	0%	2,216.9	2,214.5	0%
Total Revenue	549.1	549.8	(0)%	569.5	570.3	(0)%
Gross Profit	459.3	447.4	3%	481.2	464.4	4%
% margin	83.6%	81.4%		84.5%	81.4%	
Operating profit, Non-GAAP	152.3	152.9	(0)%	172.6	171.5	1%
% margin	27.7%	27.8%		30.3%	30.1%	
Net income, Non-GAAP	132.3	132.7	(0)%	148.0	147.3	0%
Non-GAAP EPS	0.44	0.44	1%	0.49	0.49	0%

Source: Barclays Research, Company data, Bloomberg for consensus

HubSpot (OW/POS, PT \$270) – Core Growth Drivers Intact, Though Slow Start Potentially Limits Q2 Beat Upside, Q3 Guide

While we remain encouraged by the early leading indicators for HUBS' AI monetization efforts (strong credit consumption in Q1), we would have expected a smoother sales execution for this GTM motion and not what mgmt has continued to highlight as a temporary sales execution disruption. Our Q2 channel checks leaned slightly positive (supported by some large customer wins), though we did not hear much outperformance relative to internal sales targets and AI-related demand did not meaningfully increase in the partner-driven businesses. Activity among existing customers was more mixed amongst our checks with one partner noting softness in the quarter. We continue to believe that a key indicator for HUBS' growth upside could be tied to core seat user expansion (+90% y/y in Q1) as it is somewhat a proxy for AI engagement (AI features are gated behind core seat purchases) and platform expansion. We also note that legacy customers migrating to its new seat-based pricing model are typically seeing 15–20% ACV increases at renewal (likely driven in part by core seat expansion). We believe that HUBS' AI monetization (core seats and credits) is emerging as a credible incremental driver, though the revenue impact remains early-stage and likely weighted toward 2027.

FIGURE 20. Barclays Research vs. Consensus Estimates - HubSpot

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q 26E	2Q 26E	vs. cons.	3Q 26E	3Q 26E	vs. cons.
Total Revenue	897.3	898.1	(0)%	942.0	942.7	(0)%
y/y growth	17.9%	18.0%		16.4%	16.4%	
Gross Profit, adj.	761.9	762.7	(0)%	799.9	799.3	0%
% margin	84.9%	84.9%		84.9%	84.8%	
Operating profit, adj.	173.3	173.7	(0)%	204.6	202.0	1%
% margin	19.3%	19.3%		21.7%	21.4%	
Net income, adj.	154.1	154.3	(0)%	179.4	177.3	1%
Dil. EPS, adj.	3.01	3.02	(0)%	3.49	3.44	1%

Source: Barclays Research, Company data, Bloomberg for consensus

IBM (OW/POS, PT \$288) – Waiting for Answers

IBM already pre-announced negatively last week (see [IBM Corp.: Negative Q2 Pre-Announcement Requires Second Look](#), 7/14/26). This means the results are more about explanations and guidance. One main discussion point should be how a mainframe miss can have such a big impact on the software growth rate (only 5% YoY in Q2). We also expect management to talk about the potential to sign the slipped, large ELAs in the coming quarters. This will then determine the impact to overall FY guidance. We would not be surprised if overall FY guidance will be lowered. We are reducing our price target to \$288 (was \$350) to reflect the lower multiple investors will want to pay for the business post the negative surprise (now 18x EV/FCF, was 21x).

FIGURE 21. IBM Preliminary 2Q26 Results vs. Barclays Research and Consensus Estimates

\$, mn	2Q 25	2Q 26	2Q 26	Actual	2Q 26	Actual
	Actual	Preliminary	Barclays	vs. Barclays	Cons.	vs. Cons.
Software Revenue	7,386.0	7,755.3	8,262.0	-6%	8,186.1	-5%
y/y growth	9.6%	5.0%	11.9%		10.8%	
Consulting Revenue	5,315.0	5,315.0	5,463.6	-3%	5,441.2	-2%
y/y growth	2.6%	0.0%	2.8%		2.4%	
ccy growth	-0.3%	1.0%			1.9%	
Infrastructure Revenue	4,141.0	3,851.1	3,962.3	-3%	4,031.5	-4%
y/y growth	13.6%	-7.0%	-4.3%		-2.6%	
Financing Revenue	166.0		169.3		175.6	
y/y growth	-1.8%		2.0%		5.8%	
Total Revenue	16,977.0	17,200.0	17,826.2	-4%	17,834.4	-4%
y/y growth	7.7%	1.3%	5.0%		5.1%	
Gross Profit, Non-GAAP	10,202.0	10,216.8	10,914.4	-6%	10,732.9	-5%
% margin	60.1%	59.4%	61.2%		60.2%	
Operating Income, Non-GAAP	3,641.0	3,302.4	3,694.8	-11%	3,687.8	-10%
% margin	21.4%	19.2%	20.7%		20.7%	
EPS, Non-GAAP	\$2.80	\$2.93	\$2.77	6%	\$3.03	-3%
Operating Cash Flow	1702.0	2630.0	2000.5	31%	3457.3	-24%
Free Cash Flow	2846.0	2579.0	2516.7	2%	3242.5	-20%

Note: Consensus estimates as of 7/14/26 prior to IBM's pre-announcement
Source: Barclays Research, Company data, Bloomberg for consensus

JFrog (OW/POS, PT \$88) – Expecting a Q2 Cloud Accel and Healthy FY26 Guidance Raise

We believe investors are looking for cloud revenue growth to come in above Q1's 50% y/y growth, which we think is achievable given continued evidence that customer experimentation and AI-related workloads have shown no signs of decelerating. While Q2 faces a 280bp tougher cloud revenue comparison than Q1, we expect security momentum to remain strong as cybersecurity becomes increasingly top-of-mind for customers (on the back of rampant increases in supply chain attacks), and consumption-oriented purchasing behavior should persist as enterprises appear hesitant to commit to multi-year agreements. As a result, we believe there is ample room for JFrog to raise its FY26 cloud revenue growth outlook from 34-36% y/y to ~40-41% y/y. We continue to like FROG's story throughout FY26 and the long term.

FROG's potentially landed its fourth AI lab customer, who may be a hybrid customer, compared to a strictly self-hosted deployment for the first three. FROG indicated that while it cannot yet disclose specifics, a potential fourth AI lab customer represents a meaningful evolution in JFrog's positioning, particularly compared to the first three labs onboarded as of 1Q26. The initial customers primarily leveraged Artifactory in a self-hosted environment and have not yet adopted security solutions, representing a more traditional enterprise usage pattern. In contrast, the prospective fourth lab is unique in exploring a hybrid deployment model, marking the first instance of a frontier AI lab engaging with JFrog in this way. JFrog's fourth AI lab customer could be more meaningful from a monetization perspective because the hybrid cloud and self-hosted deployment model allows JFrog to participate in both traditional self-managed infrastructure spend and cloud-based usage consumption. In contrast, the first three predominantly self-hosted AI lab deployments were likely monetized largely through server-based licensing, whereas a hybrid deployment could drive incremental usage-based revenue as model artifacts, software packages, and AI workflows scale across the cloud environment.

FIGURE 22. Barclays Research vs. Consensus Estimates - JFrog

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q 26E	2Q 26E		3Q 26E	3Q 26E	
Total Revenue	155.3	155.6	(0)%	159.0	159.1	(0)%
y/y growth %	22.1%	22.3%		16.2%	16.2%	
Adj. Gross profit	128.2	128.4	(0)%	130.4	131.1	(0)%
% margin	82.5%	82.6%		82.0%	82.4%	
Adj. Operating Income	29.5	28.9	2%	25.4	26.4	(4)%
% margin	19.0%	18.6%		16.0%	16.6%	
Net income, adjusted	31.0	30.4	2%	27.6	28.4	(3)%
EPS, adjusted	0.25	0.24	3%	0.21	0.22	(3)%

Source: Barclays Research, Company data, Bloomberg for consensus

Klaviyo (OW/POS, PT \$25) – Awaiting Growth Stabilization: Solid Execution May Not Be Enough to Shift Sentiment

We remain positive on Klaviyo's long-term opportunity, but believe it will be difficult for the stock to see meaningful upside following Q2 results. Similar to Q1, the company faces a tougher year-over-year comparison due to last year's profile enhancement initiative, which likely contributed a low-to-mid single-digit million dollar revenue benefit (in our view) through immediate billing impacts as customers migrated to higher tiers. While we expect Klaviyo to deliver another modest beat of roughly 2.5-3%, implying revenue of approximately \$370-372 million (26-27% y/y growth), we expect continued growth deceleration to limit investor enthusiasm, particularly as management appears to be guiding closer to the pin. In our view, the key catalyst for improving sentiment is evidence of growth stabilization, and with top-line growth facing pressure, we could see management place greater emphasis on accelerating operating margin expansion to support shares.

FIGURE 23. Barclays Research vs. Consensus Estimates - Klaviyo

\$, mn	Barclays 2Q 26E	Consensus 2Q 26E	Difference vs. cons.	Barclays 3Q 26E	Consensus 3Q 26E	Difference vs. cons.
Revenue	360.9	362.1	(0)%	377.6	378.6	(0)%
% y/y growth	23.1%	23.5%		21.5%	21.8%	
Gross profit, non-GAAP	270.7	270.9	(0)%	281.3	283.0	(1)%
% margin	75.0%	74.8%		74.5%	74.7%	
Operating profit, adjusted	49.6	49.7	(0)%	52.8	55.3	(4)%
% margin	13.8%	13.7%		14.0%	14.6%	
Net income, adjusted	59.6	57.8	3%	62.6	60.6	3%
EPS, adjusted	0.20	0.17	nm	0.21	0.19	nm
Customers	200,640	200,204	0%	206,790	206,085	0%
y/y growth	14.0%	13.8%		13.0%	12.6%	
Net Adds	4,640	3,978	nm	6,150	5,917	nm
Quarterly ARPU	1.80	1.81	(1)%	1.83	1.84	(1)%
y/y growth	8.0%	8.6%		7.5%	8.1%	

Source: Barclays Research, Company data, Bloomberg for consensus

Microsoft (OW/POS, PT \$545) – Small Acceleration Could Be Enough

Microsoft remains well-positioned in the new AI world as it benefits in different ways. On the infrastructure side through better Azure growth and on the application side through better Office growth. Shares over the past quarters have reacted positively to better Azure growth forecasts. We expect a similar situation again this quarter. True, the magnitude of the acceleration will not be stellar but we are moving from a high 30% growth envelope to one in the low 40% range. Beside this small improvement of growth, management can also talk about their early success of using their own LLMs for MSFT specific use cases, which could lower AI token costs over time (we also expect to hear more on the first examples of CoPilot Cowork adoption).

Capex will likely be a focus point, but we sense investors are already assuming a relatively high number, slightly above where we estimate at \$231bn, which should limit the risk of a negative surprise. Lastly, we think the company can protect its margin structure by using opex savings (Gaming division) to offset the lower gross margins from a greater GPU share in the mix.

FIGURE 24. Barclays Research vs. Consensus Estimates - Microsoft

\$, mn	Barclays (4Q26E)			Barclays (1Q27E)		
	GAAP	Consensus	Difference	GAAP	Consensus	Difference
Productivity and Business Processes	37,291	37,268	0%	36,722	36,734	(0)%
Intelligent Cloud	38,096	38,171	(0)%	40,138	39,876	1%
More Personal Computing	12,266	12,170	1%	13,343	13,079	2%
Total Revenue	87,653	87,731	(0)%	90,204	90,000	0%
Commercial Cloud Revenue	59,713	58,202	3%	61,618	61,878	(0)%
Gross profit	58,253	58,375	(0)%	60,840	60,259	1%
% margin	66.5%	66.5%	(0)%	67.4%	66.9%	1%
Operating profit	38,731	39,145	(1)%	43,872	42,868	2%
% margin	44.2%	44.7%	(1)%	48.6%	47.7%	2%
Net income (adj.)	31,307	31,721	(1)%	35,559	34,773	2%
EPS	4.21	4.24	(1)%	4.78	4.66	2%

Source: Barclays Research, Company data, Bloomberg for consensus

monday.com (OW/POS, PT \$100) – AI Momentum Partially Offsetting Pricing Headwinds, but Growth Stabilization Remains the Key Debate

We remain constructive on monday.com heading into Q2, encouraged by early traction from AI Blocks and monday vibe, which appeared to be a solid contributor to Q1 outperformance. However, tougher pricing comparisons begin in earnest this quarter, as last year's ~\$10 million pricing benefit steps down to roughly \$3 million in Q2 and is expected to be negligible in the second half of the year, creating a more difficult growth backdrop. Despite this headwind, guidance remains notably conservative—implying the weakest quarter-over-quarter growth profile in the last five years—and we expect another roughly 3% revenue beat, stable net revenue retention ~110%, and only a modest contribution from the recent 18% Service pricing increase given the product's relative immaturity. As a result, we believe monday.com has room to raise Q3 guidance slightly above the current Street expectation of approximately \$373mn and flow much of the upside through to full-year guidance, though management is likely to maintain its disciplined stance of not signaling a top-of-funnel recovery until it sees clear and durable evidence of improving demand trends.

FIGURE 25. Barclays Research vs. Consensus Estimates - monday.com

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q 26E	2Q 26E	vs. cons.	3Q 26E	3Q 26E	vs. cons.
Total Revenue	355.5	355.6	(0)%	372.3	372.8	(0)%
y/y growth	18.9%	18.9%		17.5%	17.7%	
Gross Profit, adj.	316.4	315.8	0%	329.4	328.9	0%
% margin	89.0%	88.8%		88.5%	88.2%	
Operating profit, adj.	46.9	47.2	(1)%	46.5	45.7	2%
% margin	13.2%	13.3%		12.5%	12.3%	
Net income, adj.	54.7	54.2	1%	54.8	52.6	4%
Dil. EPS, adj.	1.13	1.11	2%	1.15	1.08	6%

Source: Barclays Research, Company data, Bloomberg for consensus

OpenText (EW/POS, PT \$27) – Too Early to Get Excited

We are not sure that Q4 FY26 will be a major catalyst for OTEX. The new management team is still very early in its tenure (CEO started on April 20th) and hence it is too early to expect major announcements around corporate action and/or new strategy. In this respect, Q4 will only be about achieving guided results, though we note the conservative set-up. In other words, OTEX remains a wait-and-see story until the new team has had more time to develop its own plans, which we expect for the second half of CY2026.

FIGURE 26. Barclays Research vs. Consensus Estimates - OpenText

\$, mn	Barclays 4Q26E	Consensus 4Q26E	Difference	Barclays 1Q27E	Consensus 1Q27E	Difference
Cloud Services	486.4	492.0	(1)%	506.3	505.2	0%
Customer Support	569.0	557.8	2%	583.9	562.4	4%
License	179.4	179.4	0%	134.5	130.5	3%
Service & Other	87.1	87.0	0%	83.9	82.5	2%
Total Revenue	1,321.8	1,324.6	(0)%	1,308.6	1,286.1	2%
<i>y/y growth</i>	1%			2%		
Gross profit, non-GAAP	1,007.4	1,011.7	(0)%	992.4	976.4	2%
% margin	76.2%	76.4%		75.8%	75.9%	
EBITDA, adjusted	428.6	449.8	(5)%	442.1	460.4	(4)%
% margin	32.4%	34.0%		33.8%	35.8%	
Net income, adjusted	245.3	256.6	(4)%	249.6	266.6	(6)%
EPS, adjusted	0.99	1.05	(5)%	1.01	1.09	(7)%

Source: Barclays Research, Company data, Bloomberg for consensus

Paycom (EW/POS, PT \$154) – Small Beat Against Low Expectations Could Continue Rebounding HCM/ Payroll Sentiment

Investor sentiment for Paycom and the broader HCM/payroll space has improved off muted levels in recent months (PAYC +18.5% last 3 months vs. IGV +4.2%) and we believe this can continue with potential for a modest top-line and adj. EBITDA beat in Q2. Consensus is modeling ~7% y/y recurring revenue ex-float growth (vs. 8.8% in Q1), which seems conservative given historical q/q growth trends (cons -10.3% Q/Q vs. -9% in 2Q25), a continued healthy labor market backdrop (see Figures 9 and 10) and encouraging commentary around PAYC's improved sales training motion that pairs well with Paycom's IWant solution and continued marketing spend. Street profitability expectations (41.6% adj. EBITDA, or ~7.6% y/y growth) also seem prudent given PAYC's internal headcount falling from ~7,300 employees exiting FY24 to ~5,800 entering FY26 and support PAYC's consistent beat cadence in this area. Hence, we see potential for recurring revenue growth to come in closer to ~8-8.5% y/y growth (approx. 1.5% beat) and adj. EBITDA to come in ~100bps above consensus.

For guidance, we do not expect specific Q3 guidance commentary but note consensus estimates for 8.5% y/y growth could see upside as PAYC should see an optical uplift from the period having an extra pay period (Wednesday) than Q2 '25 (at the expense of Q4 that will see a tougher comp from the reverse of this dynamic) and we could see PAYC upgrade its 7-8% recurring revenue growth guidance range and adj. EBITDA guidance of \$950-970mn at the midpoint after maintaining guidance for these items in Q1 despite modest upside vs. cons in the quarter. Overall, while we do not see Q2 results as a major positive catalyst to shares, we see potential for healthy results to continue the rebuilding sentiment for shares and the broader space. We maintain our Equal Weight rating and raise our price target to \$154 (from \$148) based on 13x EV/ CY27E adj. FCF and CY27E FCF of \$617mn (from \$610mn) and update our model primarily to better reflect our expectations for Q3/Q4 revenue and cash flow seasonality.

FIGURE 27. Barclays Research vs. Consensus Estimates - Paycom

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
Recurring & Other Revenue	490.4	487.6	1%	503.8	504.6	(0)%
y/y growth	7.8%	7.1%		8.0%	8.2%	
Interest Income on Funds Held	25.4	25.6	(1)%	24.0	25.6	(6)%
y/y growth	-10.8%	-10.0%		-10.3%	-10.0%	
Total Revenue	515.8	513.3	0%	527.9	530.3	(0)%
y/y growth	6.7%	6.1%		7.0%	9.6%	
Gross profit, non-GAAP	430.7	429.4	0%	442.1	443.6	(0)%
% margin	83.5%	83.7%		83.8%	83.7%	
Operating profit, adjusted	153.8	161.8	(5)%	157.1	164.5	(5)%
% margin	29.8%	31.5%		29.8%	31.0%	
EBITDA, adjusted	213.8	213.3	0%	220.1	218.8	1%
% margin	41.5%	41.6%		41.7%	41.3%	
Net income, adjusted	111.3	117.7	(5)%	113.7	119.0	(4)%
EPS, adjusted	2.33	2.38	(2)%	2.38	2.42	(2)%
Operating Cash Flow	153.4	151.2	1%	148.0	142.2	4%
% margin	29.7%	29.5%		28.0%	26.8%	
Free Cash Flow	105.6	102.8	3%	101.8	102.8	(1)%
% margin	20.5%	20.0%		19.3%	19.4%	

Source: Barclays Research, Bloomberg consensus

Paylocity (EW/POS, PT \$128) – Small Beat Potential and Limited Surprises for FY27 Guidance Create Opportunity for Small Sentiment Improvement

Paylocity shares have seen limited earnings volatility in recent quarters (~4% avg abs value 1-day move over last four prints) and we expect this to continue post its upcoming fiscal 4Q26 print with bias for a small positive reaction. Consensus expectations for recurring revenue growth of ~9.6% (vs. 11.6% in Q3) offer room for PCTY to continue its 1-2% beat cadence (1.7% beat avg in F1Q-3Q26) supported by a resilient labor market and continued healthy net adds/cross-sell from PCTY's expanded portfolio (e.g. Paylocity For Finance). We note PCTY will issue its initial FY27 guidance, where we see Street forecasts calling for growth to decelerate to ~8.1% y/y exiting FY27 as fair given PCTY's typical practice of setting prudent initial FY guidance that leave room for future modest beat & raises. For profitability, consensus expects Q4 adj. EBITDA margin of ~30.6% imply a ~200bps step down y/y (~140bps ex-float), which appear conservative against Q1-Q3 seeing ~125bps adj. EBITDA margin ex-float expansion on average (y/y). Overall, we see Q4 suggesting a largely stable backdrop, which pairs well against relatively muted sentiment for the HCM/payroll software space (PCTY -19% YTD vs. IGV -11%), but with shares trading at reasonable valuation levels (~15x EV/CY27E FCF) for the growth profile (~10% recurring ex-float growth with modest margin expansion), we see upside capped in the ST given potential for limited estimate revisions. We update our model to better reflect our seasonality expectations for fiscal 4Q26. We maintain our Equal Weight rating and \$128 price target based on 15x EV/CY27E FCF and CY27E FCF of \$463mn (unchanged).

FIGURE 28. Barclays Research vs. Consensus Estimates - Paylocity

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
FYE June 30th	4Q26E	4Q26E		1Q27E	1Q27E	
Recurring & Other Revenue	405.9	405.4	0%	413.0	413.7	(0)%
y/y growth	9.8%	9.6%		9.0%	9.2%	
Interest Income on Funds Held	26.4	26.3	0%	25.3	24.9	2%
y/y growth	-14.5%	-14.7%		-13.6%	-15.1%	
Total Revenue	432.3	431.7	0%	438.3	438.6	(0)%
y/y growth	7.9%	7.7%		7.4%	7.5%	
Gross profit, non-GAAP	319.9	317.8	1%	329.8	327.4	1%
% margin	74.0%	73.6%		75.3%	74.6%	
Operating profit, adjusted	106.3	108.4	(2)%	129.4	127.8	1%
% margin	24.6%	25.1%		29.5%	29.1%	
EBITDA, adjusted	132.3	132.2	0%	156.8	151.4	4%
% margin	30.6%	30.6%		35.8%	34.5%	
Net income, adjusted	88.0	88.2	(0)%	105.6	101.9	4%
EPS, adjusted	1.64	1.62	1%	1.99	1.88	5%
Operating Cash Flow	102.1	103.3	(1)%	92.7	94.5	(2)%
% margin	23.6%	23.9%		21.2%	21.5%	

Source: Barclays Research estimates, Bloomberg consensus

Pegasystems (OW/POS, PT \$48) – Steady Q2 and Expected 2H Ramp Creates Better Set-up in Q3/Q4

Sentiment for Pega shares remain relatively muted following significant underperformance YTD (PEGA -38% vs. IGV -11%) and we are not sure Q2 results itself will meaningfully change the investment case. Pega Cloud ACV growth should continue to show strength in the high 20s percentage range (Barclays est ~28% growth in Q2) aided by healthy expansion opportunity and modest contribution from Client Cloud conversions, which may weigh on Client Cloud ACV growth and drive Q2 total ACV growth in-line with Q1 (~11%). We could see better than expected revenue optics from term license revenue outperformance given a much weaker comp (-5.5% y/y term license growth in 2Q25 vs. 194.5% in 1Q25), and see this more as the potential revenue line item to outperform as consensus expectations for ~32% y/y Pega Cloud revenue growth (vs. ~36% y/y in Q1) seem fair and leave limited room for upside. This outcome may help profitability optics, but we are not sure investors will give them significant credit on term license outperformance. We see a more encouraging set-up in 2H as Pega's Blueprint and recently launched Infinity Studio solutions helps Pega deliver on its healthy pipeline build (total pipeline up just under 30% y/y per June '26 Analyst Day), where Pega Cloud's increasing mix effect and continued strength could drive total ACV growth to reaccelerate. We see current valuation levels as attractive for the opportunity (~2.3x EV/CY27E Sales, ~8x EV/CY27E FCF) but believe investors may need to see more confidence in a Pega Cloud led growth re-acceleration before getting incrementally positive given the noise in the automation software market around AI. We maintain our Overweight rating.

FIGURE 29. Barclays Research vs. Consensus Estimates - Pegasystems

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q 26E	2Q 26E		3Q 26E	3Q 26E	
Pega Cloud Revenue	219.9	220.6	-0.3%	242.6	245.3	-1.1%
y/y growth	31.9%	32.3%		31.4%	32.9%	
Term License Revenue	65.1	74.7	-12.8%	104.3	91.0	14.7%
y/y growth	-18.5%	-6.5%		72.2%	50.2%	
Maintenance Revenue	74.3	76.9	-3.4%	77.3	77.8	-0.7%
y/y growth	-6.3%	-3.1%		-2.9%	-2.3%	
Client Cloud Revenue	139.4	151.6	-8.0%	181.6	173.2	4.9%
y/y growth	-12.5%	-4.8%		29.5%	23.5%	
Perpetual License Revenue	0.5	0.7	nm	0.1	0.1	nm
y/y growth	-25.0%	-8.0%		-25.0%	-8.3%	
Consulting Revenue	54.9	55.2	-0.6%	56.4	54.8	3.0%
y/y growth	-5.0%	-4.5%		0.0%	-2.9%	
Total Revenue	414.3	427.3	-3.1%	480.6	470.2	2.2%
y/y growth	7.7%	11.1%		26.0%	23.3%	
FCF (Unadjusted)	83.8	83.9	-0.2%	73.5	72.0	2.0%
% margin	20.2%	19.6%		15.3%	15.3%	
Net income, Non-GAAP	76.4	78.2	-2.2%	106.7	107.1	-0.3%
Non-GAAP EPS	0.42	0.44	-4.5%	0.58	0.60	-2.6%

Source: Barclays Research, Company data, Bloomberg for consensus

SAP (OW, \$255 PT) – Q2 Should Be Solid but Unlikely to Be a Turning Point for the Shares

SAP will report its Q2 results after US market close on 23 July at 9:05pm UKT / 10:05pm CET, with a focus on current cloud backlog (CCB), cloud revenue, and EBIT. We expect CCB to come in at 24-25% at const. FX in Q2 following 25% in Q1, a sequential slowdown on an organic basis

given the contribution of Reltio and compared to Bloomberg consensus at ~24%. In Q1, several quarter-specific effects supported cloud revenue which was very strong at 27%; these effects are not expected to repeat in Q2, and we therefore expect a deceleration in cloud revenue growth to 23.0% at const. FX. This results in cloud revenues of €6,257m, in line with consensus. We expect license to decline by 25% and maintenance by 6.5%, resulting in overall revenue growth of 10.4% on a const. FX basis (9.8% organically) to €9,885m, ~0.5% above consensus. We expect OpEx growth to accelerate, driving EBIT of €2,958m, ~2.5% above consensus. This equates to a margin of 29.9%, a 150bp y/y improvement. At the Q1 results, management reiterated that its guidance is dependent on the assumption of a near-term de-escalation of the Middle East conflict, as well as the imminent consolidation of the Reltio acquisition. With both of these conditions broadly fulfilled, we expect the guidance to be reiterated but wouldn't be surprised if management continues to give a cautious message on the outlook due to macro. In this note, we update our model for FX and slightly tweak our phasing, leading to >0.5% EPS upgrades in FY27/28E. Overall, we expect a solid Q2 with CCB in line to ahead of expectations and EBIT ahead; however, we do not expect the results to provide the necessary proof points that SAP's agentic strategy is starting to translate into tangible results, which is likely needed for the stock to work in the near term.

As highlighted in our recent [AI framework, 16/03/26](#), SAP's system-of-record status, deep domain and vertical expertise, visibility into business workflows and strong data gravity place the company in a leading position to participate in and ultimately monetize AI-driven workflow automation. At the same time, as we have outlined in ['Rule of 40' within reach by 2030, 03/09/25](#), SAP remains uniquely positioned in European software and even globally, with high and predictable growth combined with meaningful margin upside continuing to stand out, in our view. We therefore remain Overweight with our price target of \$255 based on 25x FY27E PE.

FIGURE 30. Barclays Research vs. Consensus Estimates - SAP

	Barc	Cons	Barc	Barc	Cons	Barc	Barc	Cons	Barc
EUR m, Dec	2Q26	2Q26	vs Cons	FY26	FY26	vs. Cons	FY27	FY27	vs. Cons
Total revenue	9,885	9,849	0.4%	40,361	40,153	0.5%	45,179	44,831	0.8%
<i>Const. FX growth</i>	10.4%			10.8%			11.6%		
Adj. operating profit	2,958	2,884	2.6%	12,179	11,915	2.2%	14,207	13,716	3.6%
% margin	29.9%	29.3%	0.6%	30.2%	29.7%	0.5%	31.4%	30.6%	0.9%
Free cash flow	3,157	3,096	2.0%	10,096	9,994	1.0%	11,398	11,400	0.0%

Source: Barclays Research, Bloomberg consensus

ServiceNow (OW, PT \$134) - Q2 to Highlight AI Traction and Best-in-Class SaaS Metrics but More Excitement in 2H

We continue to see ServiceNow as one of the stand-out opportunities in SaaS with best-in-class metrics at a reasonable price (Rule of 55% + at 15x EV/CY27E FCF), notable traction in its Now Assist AI offerings and a growing portfolio of security offerings that strengthen its platform's value proposition as a controlling point for AI agents (e.g. AI Control Tower). We expect Q2 to corroborate NOW's favorable positioning with opportunity for a modest 0.5-1% cRPO beat, in-line Q3 cRPO guidance and a narrow top-line beat and more material bottom-line beat. However, given recent uncertainty from IBM's recent pre-announcement that came with commentary around delayed deal cycles due in part to CapEx reprioritization and distractions from emerging cybersecurity concerns, we see multiple expansion post results limited until the AI consumption flywheel is more visible from NOW's emerging AI agents are more visible and driving customers to re-up on AI capacity commitments.

For Q2, consensus is modeling 19.0% cRPO growth (19.5% cc vs. 21.0% in Q1), which seems to offer potential for a 0.5-1% beat given historical q/q growth trends and slightly unfavorable FX movements intra-quarter (Barc est. 0.7% FX headwind to cRPO vs. guidance of ~0.5%). We see limited room for upside to consensus expectations for 19.5% y/y cRPO growth (cc) in 3Q26 and note potential for NOW's recent pricing/packaging change to add some ST complexity to sales cycles that could limit upside beyond consensus expectations. For profitability, we see opportunity for a ~200bps beat to adj. operating margin in an upside case as despite elevated expenses from ServiceNow's Q2 Knowledge Conference, we believe consensus estimates that call for a 310bps margin decline y/y overly accounts for this, even when considering dilutive margin impacts from NOW's Armis acquisition. We see this as a favorable outcome but note less room for raised Q3/Q4 profitability expectations as consensus estimates for 32.5% non-GAAP EBIT (vs. 33.5% in 3Q25) seem to limit upside when considering M&A impacts and desire to beat. Further, we are not sure we will see significant upside to FY26 guidance expectations that already call for a healthy subscription revenue growth acceleration in 2H. Hence, we see Q2 as a solid quarter that helps build confidence that NOW is well positioned for durable growth with its growing IT/security portfolio and growing agentic capabilities, but believe investors will want to see more confidence growth can maintain above 20% for longer, which may not be evident by potential Q3 cRPO guidance for ~19.5% cc growth. We see a better set-up for 2H27 when NOW's agentic solutions begin motivating customer AI capacity expansions and maintain our Overweight rating and \$134 price target.

FIGURE 31. Barclays Research vs. Consensus Estimates - ServiceNow

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
cRPO	12,975.3	12,990.5	(0)%	13,504.2	13,512.4	(0)%
y/y growth	18.8%	19.0%		19.0%	19.1%	
y/y growth (cc)	19.5%	19.5%		19.5%	19.3%	
Total RPO	28,697.2	28,813.2	(0)%	29,155.2	29,427.9	(1)%
Billings	3,821.0	3,945.7	(3)%	3,735.4	3,745.3	(0)%
Subscription Revenue	3,816.9	3,814.2	0%	3,996.2	4,004.9	(0)%
y/y growth	22.6%	22.5%		21.1%	21.4%	
Services Revenue	118.3	109.2	8%	124.2	114.1	9%
Total Revenue	3,935.2	3,928.2	0%	4,120.4	4,125.1	(0)%
y/y growth	22.4%	22.2%		20.9%	21.1%	
Non-GAAP Gross Profit	3,110.8	3,105.5	0%	3,250.7	3,269.5	(1)%
% margin	79.1%	79.1%	(0)%	78.9%	79.3%	(0)%
Non-GAAP Operating Income	1,044.9	1,051.9	(1)%	1,318.2	1,348.5	(2)%
% margin	26.6%	26.8%	(1)%	32.0%	32.7%	(2)%
Non-GAAP Net Income	861.5	890.6	(3)%	1,064.2	1,134.5	(6)%
Non-GAAP EPS	0.83	0.87	(5)%	1.02	1.10	(7)%

Source: Barclays Research, Bloomberg for consensus.

Teradata (UW/POS, PT \$28) – Tough Comp Could See Q2 ARR Growth Below 2-4% FY26 Guidance Range, Likely Not Enough Given Uncertain Backdrop

We do not see TDC's outperformance in recent months (TDC +13% last 3 months vs. IGV +7.5%) continuing post fiscal 2Q26 results as a tough comp in Q2 could lead to total ARR growth to fall below the 2-4% guidance range for FY26 and limit excitement in the ST around TDC's re-acceleration story. Consensus is modeling total y/y ARR growth of ~1% (vs. 3.3% in Q1), which we estimate to imply ~0.3% y/y growth in cc (vs. 2% in Q1). We see these results as attainable given Q2 seasonality trends but note TDC is lapping its strongest net new ARR quarter (~\$47mn in 2Q25) and should see a more modest FX tailwind in Q2 (~70bps est. vs. 130bps in Q1), which limits potential for material upside to reported numbers and potential for TDC to continue its slight growth re-acceleration (0% ccy ARR growth in 3Q25, 1% in 4Q25, 2% in 1Q26). We also expect muted Q2 revenue optics vs. Q1 as TDC saw ~5pts and ~2pts of tailwinds to recurring revenue growth in Q1 from upfront revenue recognition and FX that are not expected to persist in Q2 at the same levels and hence, lead to a 0-2% decline in y/y recurring revenue growth. We note TDC has an interesting product story emerging in 2H26 but with many of the solutions still be in preview or the very early innings (see [Teradata: Conference Commentary + Mgmt Q&A Reflect Steps in the Right Direction, Though We See Execution Risk](#), 10/9/25). Hence, we see potential for encouraging commentary around early pipeline interest around these new solutions and Teradata's upcoming hardware refresh. However, we also see the risks highlighted from IBM's recent pre-announcement around CapEx reprioritization efforts and distractions from emerging cybersecurity concerns amidst newer, more powerful LLM generations potentially impacting deal cycles in the quarter. Hence, given muted expectations for ARR growth and potential for a discontinuation of TDC's recent re-acceleration trends, we are not sure Q2 results will change the narrative around TDC shares and see current valuation levels (~10x EV/CY27E FCF incl leases) limiting upside potential. We maintain our Underweight rating and \$28 price target.

FIGURE 32. Barclays Research vs. Consensus Estimates - Teradata

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	2Q26E	2Q26E		3Q26E	3Q26E	
Public Cloud ARR	704.0	700.3	0.5%	726.0	725.3	0.1%
y/y growth	11.0%	10.5%		14.7%	14.6%	
Total ARR	1,497.9	1,503.3	(0.4)%	1,521.9	1,532.3	(0.7)%
y/y growth	0.6%	1.0%		2.1%	2.8%	
Recurring	352.4	350.8	0.4%	364.5	363.2	0.4%
Perpetual & Hardware	0.8	0.9	(18.2)%	0.8	0.6	28.6%
Consulting Services	43.4	44.1	(1.7)%	40.0	44.3	(9.9)%
Total Revenue, Non-GAAP	396.5	395.8	0.2%	405.2	408.1	(0.7)%
y/y growth	-2.8%	-3.0%		-2.6%	-1.9%	
Gross profit, non-GAAP	238.7	240.7	(0.8)%	245.0	248.3	(1.3)%
% margin	60.2%	60.8%		60.5%	60.9%	
Operating profit, adjusted	76.2	75.5	0.9%	78.9	83.2	(5.2)%
% margin	19.2%	19.1%		19.5%	20.4%	
Net income, adjusted	52.6	53.0	(0.8)%	56.9	59.2	(3.9)%
EPS, adjusted	0.55	0.56	(1.0)%	0.60	0.62	(4.6)%
Free Cash Flow	51.2	75.1	(31.7)%	92.7	96.2	(3.6)%

Source: Barclays Research estimates, Bloomberg consensus

WhiteFiber (EW, \$29 PT) - Focus on CapEx, Pipeline Build and NC-1 Progress to Determine Potential Binary Outcome

WhiteFiber shares have seen significant volatility in recent weeks as investors weigh increased uncertainty around the costs of AI and we could see this continue with elevated short interest for WYFI shares entering the print (36.2% short interest % as of 7/15/26 vs. 23.7% as of 4/15/26). We expect investor focus to be on WYFI's evolving cloud services strategy after the company's recent pivot to focus more on this area vs. its colocation business following robust demand signals and the company's recently signed >\$175mn in cloud services TCV across its US owned fleet and Paris deployment. Further, we note progress on NC-1 and updates on deployment (expected to be operational mid 2026, subject to final construction, delivery and acceptance milestones) along with the propensity/financing plan for the optional 2X expansion of the NC-1 initial deployment at the end of '27 will be key areas for the quarter. For Q2, consensus expects total revenue of \$19.6mn (~5% y/y growth vs. \$21.9mn in Q1 for ~31% y/y growth), which seems conservative even when considering marginal ST headwinds from WYFI's cloud services strategy pivot and could offer modest upside. However, given NC-1 is entering the final stages of the deployment, we expect more focus on forward looking commentary to determine the ultimate reaction. Overall, while we see expectations as low and valuation reasonable (~14x CY29E adj. EPS discounted back to CY27E), we are not sure Q2 offers significant potential for outperformance due to the moving parts and execution needed ahead to bring online its large contracts. We maintain our Equal Weight rating and raise our price target to \$29 (from \$27) based on 15x (from 14x) CY29E adj. EPS of \$2.56 discounted back to CY27E (implying \$1.97). We update our model to better account for our expectations of the NC-1 capacity ramp and raise our multiple slightly to account for higher peer group valuation levels for AI infrastructure names relative to our last model update.

FIGURE 33. Barclays Research vs. Consensus Estimates - WhiteFiber

\$, mn	Barclays 2Q26E	Consensus 2Q26E	Difference vs. cons.	Barclays 2Q26E	Consensus 2Q26E	Difference vs. cons.
Total Revenue	21.5	19.6	9%	35.3	36.4	-3%
y/y growth	15.0%	5.0%		75.1%	80.4%	
Adj. EBITDA	2.9	1.6	82%	12.4	14.9	-17%
% margin	13.5%	8.2%		35.0%	40.9%	
Operating Cash Flow	55.6	21.3	161%	(3.6)	(3.7)	-3%
Capex	(168.1)	(108.8)	55%	(33.6)	(97.5)	-66%
EPS	(0.26)	(0.39)	-33%	(0.31)	(0.20)	57%

Source: Barclays Research estimates, Bloomberg consensus

Company Snapshots

U.S. Software

POSITIVE

Atlassian (TEAM)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,215	6,464	7,369	8,576	18.0%
EBITDA (adj)	1,380	1,991	2,359	2,848	27.3%
Operating profit (adj)	1,287	1,866	2,246	2,709	28.1%
Pre-tax income (adj)	1,319	1,885	2,219	2,678	26.6%
Net income (adj)	976	1,433	1,686	2,035	27.8%
EPS (adj) (\$)	3.68	5.45	6.46	7.81	28.5%
Diluted shares (mn)	262	262	260	259	-0.3%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	26.5	30.8	32.0	33.2	30.6
Operating margin (adj) (%)	24.7	28.9	30.5	31.6	28.9
Pre-tax (adj) margin (%)	25.3	29.2	30.1	31.2	28.9
Net (adj) margin (%)	18.7	22.2	22.9	23.7	21.9
ROIC (%)	143.2	116.6	12.7	13.5	71.5
ROA (%)	-4.2	-2.5	1.2	1.9	-0.9
ROE (%)	-19.1	-11.6	3.2	3.8	-5.9
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	105	85	119	151	12.9%
Goodwill	1,304	2,303	2,303	2,303	20.9%
Cash and equivalents	2,513	1,620	3,402	5,567	30.4%
Total assets	6,042	6,198	8,256	10,719	21.1%
Short and long-term debt	988	989	989	989	0.0%
Other long-term liabilities	48	69	69	69	12.7%
Total liabilities	4,696	4,865	5,112	5,425	4.9%
Net debt/(funds)	-1,525	-631	-2,413	-4,578	N/A
Shareholders' equity	1,346	1,332	3,145	5,294	57.9%
Change in working capital	265	-243	-70	-38	N/A
Cash flow from operations	1,460	1,375	1,856	2,250	15.5%
Capital expenditure	-45	-46	-74	-86	N/A
Free cash flow	1,416	1,328	1,782	2,165	15.2%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	26.2	17.7	14.9	12.3	17.8
EV/sales (x)	5.2	4.2	3.7	3.2	4.1
EV/EBITDA (adj) (x)	19.8	13.7	11.6	9.6	13.7
Equity FCF yield (%)	5.6	5.2	7.1	8.6	6.6
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-1.1	-0.3	-1.0	-1.6	-1.0
Total debt/capital (%)	42.3	42.6	23.9	15.7	31.2
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
Maintenance revenue	0	0	0	0	N/A

Note: FY End Jun

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 96.43**
Price Target **USD 112.00**

Why OVERWEIGHT?

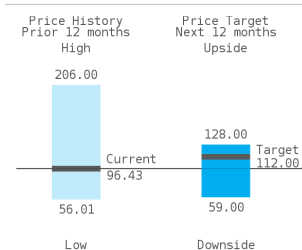
We view TEAM as well-positioned within the DevOps space due to its strong PLG growth story and attractive unit economics. Further, we think that TEAM's business model and rev. growth could look cleaner post-migration.

Upside case **USD 128.00**

We could see upside to consensus TEAM rev. estimates as the company continues to invest in in-house revenue generators or potentially pursues external portfolio additions.

Downside case **USD 59.00**

If tougher macro negatively impacts TEAM's retention stronger than expected and if migrations occur at a slower rate than expected, we could see softer growth and profitability expansion trends.

Upside/Downside scenarios

U.S. Software

POSITIVE

Datadog, Inc. (DDOG)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,427	4,336	5,238	6,336	22.7%
EBITDA (adj)	817	1,050	1,318	1,639	26.1%
Operating profit (adj)	768	960	1,193	1,484	24.6%
Pre-tax income (adj)	945	1,129	1,353	1,644	20.3%
Net income (adj)	747	892	1,069	1,299	20.3%
EPS (adj) (\$)	2.06	2.39	2.80	3.37	17.9%
Diluted shares (mn)	362.3	372.6	381.9	384.8	2.0%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	23.9	24.2	25.2	25.9	24.8
Operating margin (adj) (%)	22.4	22.1	22.8	23.4	22.7
Pre-tax (adj) margin (%)	27.6	26.0	25.8	26.0	26.4
Net (adj) margin (%)	21.8	20.6	20.4	20.5	20.8
ROIC (%)	-1.1	1.1	2.9	3.5	1.6
ROA (%)	1.6	2.1	1.9	1.7	1.8
ROE (%)	2.9	3.6	3.1	2.7	3.1
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	338	474	604	729	29.2%
Goodwill	531	541	541	541	0.6%
Cash and equivalents	401	1,236	2,594	4,268	119.9%
Total assets	6,644	8,082	9,771	11,804	21.1%
Short and long-term debt	1,279	1,273	1,257	1,241	-1.0%
Other long-term liabilities	12	13	13	13	3.9%
Total liabilities	2,912	3,288	3,768	4,362	14.4%
Net debt/(funds)	-3,196	-4,296	-5,669	-7,359	N/A
Shareholders' equity	3,732	4,794	6,003	7,442	25.9%
Change in working capital	53	143	281	362	89.1%
Cash flow from operations	1,050	1,314	1,613	1,954	23.0%
Capital expenditure	-135	-215	-255	-280	N/A
Free cash flow	915	1,099	1,357	1,674	22.3%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	N/A	N/A	94.0	78.0	86.0
EV/sales (x)	26.9	21.3	17.6	14.6	20.1
EV/EBITDA (adj) (x)	112.9	87.9	70.0	56.3	81.8
Equity FCF yield (%)	1.0	1.1	1.4	1.7	1.3
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-4.2	-3.3	-2.6	-2.1	-3.1
Total debt/capital (%)	25.5	21.0	17.3	14.3	19.5
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
Deferred revenue	1,262	1,578	1,957	2,426	24.3%

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 263.20**
 Price Target **USD 290.00**

Why OVERWEIGHT?

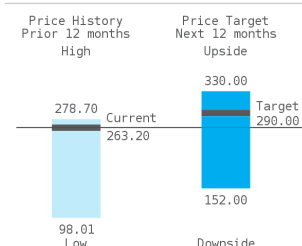
We see Datadog as a platform leader in observability, benefiting from secular tailwinds of cloud migration and digital transformation. The company's depth and breadth of its observability platform, along with best-in-class customer economics should continue to drive strong LT growth.

Upside case **USD 330.00**

Our upside case is based on 10% premium to CY27 FCF and a ~78x multiple.

Downside case **USD 152.00**

Our downside case is based on 15% discount to CY27 FCF and a ~45x multiple.

Upside/Downside scenarios

U.S. Software

POSITIVE

Dynatrace, Inc. (DT)

OVERWEIGHT

Income statement (\$mn)	2026A	2027E	2028E	2029E	CAGR
Revenue	2,018	2,330	2,683	3,078	15.1%
EBITDA (adj)	612	711	833	976	16.8%
Operating profit (adj)	592	685	802	941	16.7%
Pre-tax income (adj)	635	721	834	973	15.3%
Net income (adj)	518	587	680	793	15.3%
EPS (adj) (\$)	1.71	1.95	2.22	2.57	14.6%
Diluted shares (mn)	303	302	307	309	0.6%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2026A	2027E	2028E	2029E	Average
EBITDA (adj) margin (%)	30.3	30.5	31.0	31.7	30.9
Operating margin (adj) (%)	29.3	29.4	29.9	30.6	29.8
Pre-tax (adj) margin (%)	31.5	30.9	31.1	31.6	31.3
Net (adj) margin (%)	25.6	25.2	25.3	25.8	25.5
ROIC (%)	11.1	12.7	13.0	13.0	12.5
ROA (%)	3.7	4.5	4.8	4.9	4.5
ROE (%)	6.2	7.4	7.7	7.7	7.3
Balance sheet and cash flow (\$mn)	2026A	2027E	2028E	2029E	CAGR
Net PP&E	73	89	105	123	19.1%
Goodwill	1,350	1,350	1,350	1,350	0.0%
Cash and equivalents	1,097	1,711	2,432	3,278	44.0%
Total assets	4,416	5,275	6,193	7,238	17.9%
Short and long-term debt	0	0	0	0	N/A
Other long-term liabilities	0	0	0	0	N/A
Total liabilities	1,804	2,088	2,334	2,593	12.9%
Net debt/(funds)	-1,097	-1,711	-2,432	-3,278	N/A
Shareholders' equity	2,611	3,187	3,859	4,644	21.2%
Change in working capital	78	98	123	150	24.7%
Cash flow from operations	562	655	768	899	17.0%
Capital expenditure	32	41	47	54	18.7%
Free cash flow	520	587	697	822	16.5%
Valuation and leverage metrics	2026A	2027E	2028E	2029E	Average
P/E (adj) (x)	26.1	23.0	20.2	17.4	21.7
EV/sales (x)	6.2	5.3	4.6	4.0	5.0
EV/EBITDA (adj) (x)	20.3	17.5	14.9	12.7	16.4
Equity FCF yield (%)	3.9	4.5	5.3	6.1	5.0
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-2.3	-2.0	-1.7	-1.4	-1.8
Total debt/capital (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics (\$mn)	2026A	2027E	2028E	2029E	CAGR
Deferred revenue	1,295	1,489	1,683	1,885	13.3%
License revenue	0	0	0	0	N/A

Note: FY End Mar

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 44.71**
Price Target **USD 48.00**

Why OVERWEIGHT?

We believe Dynatrace has a differentiated technological foundation with Grail, Smartscape, etc. and is building more product modules to leverage this. Following a number of quarters of product buildout and GTM changes, we think DT is well positioned to out-execute vs. peers.

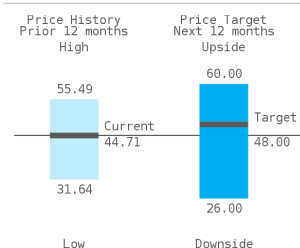
Upside case **USD 60.00**

The company can see growth tailwinds from a faster-than-anticipated conversion and new customer adoption of its next-gen platform. Our upside case is based on a 10% increase in our CY27 FCF and 23x FCF multiple.

Downside case **USD 26.00**

Competitive headwinds may pressure the company's growth trajectory. Our downside case is based on a 10% decrease in our CY27 FCF and an 11x FCF multiple.

Upside/Downside scenarios



U.S. Software

POSITIVE

CoreWeave, Inc (CRWV)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,131	12,637	24,058	39,905	98.1%
EBITDA (adj)	3,086	7,464	15,906	26,755	105.4%
Operating profit (adj)	668	975	3,609	6,125	109.4%
Pre-tax income (adj)	-653	-1,852	-1,538	-2,184	N/A
Net income (adj)	-605	-2,222	-1,846	-2,511	N/A
EPS (adj) (\$)	-1.51	-4.13	-3.32	-4.42	N/A
Diluted shares (mn)	435	540	556	568	9.3%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	60.2	59.1	66.1	67.0	63.1
Operating margin (adj) (%)	13.0	7.7	15.0	15.3	12.8
Pre-tax (adj) margin (%)	-12.7	-14.7	-6.4	-5.5	-9.8
Net (adj) margin (%)	-11.8	-17.6	-7.7	-6.3	-10.8
ROIC (%)	-0.2	0.4	4.0	4.4	2.2
ROA (%)	-1.2	-2.4	-1.3	-1.3	-1.6
ROE (%)	-35.0	-93.7	-217.1	376.2	7.6
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	30,557	59,021	92,872	121,684	58.5%
Goodwill	1,101	1,101	1,101	1,101	0.0%
Cash and equivalents	3,127	1,835	1,816	1,919	-15.0%
Total assets	49,302	91,577	138,458	187,139	56.0%
Short and long-term debt	21,373	47,989	78,843	103,802	69.3%
Other long-term liabilities	8,386	20,027	29,646	46,673	77.2%
Total liabilities	45,967	88,409	137,080	188,216	60.0%
Net debt/(funds)	18,500	46,327	77,316	102,339	76.9%
Shareholders' equity	3,335	3,168	1,378	-1,077	N/A
Change in working capital	633	2,163	4,263	5,855	109.9%
Cash flow from operations	3,058	7,574	15,415	24,787	100.9%
Capital expenditure	-21,430	-35,027	-46,149	-49,442	N/A
Free cash flow	-7,166	-25,833	-26,692	-18,289	N/A
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	N/A	N/A	N/A	N/A	N/A
EV/sales (x)	8.4	3.4	1.8	1.1	3.7
EV/EBITDA (adj) (x)	14.0	5.8	2.7	1.6	6.0
Equity FCF yield (%)	-25.6	-71.2	-75.7	-59.5	-58.0
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	6.2	4.9	3.8	3.3	4.5
Total debt/capital (%)	640.9	1,514.9	5,720.6	-9,637.5	-440.3
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
License revenue	0	0	0	0	N/A
Maintenance revenue	0	0	0	0	N/A
Services revenue	0	0	0	0	N/A
Deferred revenue	8,185	13,398	20,184	28,544	51.6%

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 73.06**
Price Target **USD 90.00**

Why EQUAL WEIGHT?

We view CRWV as well positioned within the AI IaaS space due to its ability to stand-up large scale clusters in a short amount of time, combined with its proprietary software layer that allows users to maximize efficiency in the underlying compute infrastructure, differentiating from both Neocloud and hyperscaler peers.

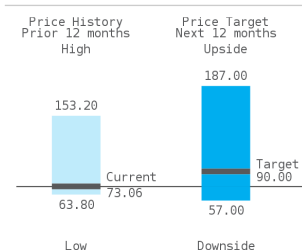
Upside case **USD 187.00**

Our upside case is based on a 30% EBIT premium and an CY27E EV/EBIT multiple of 40x.

Downside case **USD 57.00**

Our downside case is based on a 10% EBIT discount and an CY27E EV/EBIT multiple of 34x.

Upside/Downside scenarios



U.S. Software

POSITIVE

DigitalOcean (DOCN)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	901	1,162	1,743	2,825	46.3%
EBITDA (adj)	375	454	674	1,259	49.8%
Operating profit (adj)	257	248	206	351	10.9%
Pre-tax income (adj)	264	197	145	142	-18.7%
Net income (adj)	222	165	122	119	-18.8%
EPS (adj) (\$)	2.13	1.44	1.02	0.97	-23.0%
Diluted shares (mn)	105	119	124	126	6.4%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	41.6	39.0	38.7	44.6	41.0
Operating margin (adj) (%)	28.5	21.3	11.8	12.4	18.5
Pre-tax (adj) margin (%)	29.3	16.9	8.3	5.0	14.9
Net (adj) margin (%)	24.7	14.2	7.0	4.2	12.5
ROIC (%)	17.6	10.3	7.3	5.3	10.1
ROA (%)	12.1	3.9	1.8	1.1	4.7
ROE (%)	-775.3	11.3	8.0	7.5	-187.1
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	589	1,422	3,497	5,868	115.2%
Goodwill	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	254	491	318	277	2.8%
Total assets	1,838	4,250	6,772	10,578	79.2%
Short and long-term debt	1,296	137	137	637	-21.1%
Other long-term liabilities	10	8	8	8	-7.6%
Total liabilities	1,866	2,783	5,244	8,985	68.9%
Net debt/(funds)	1,172	473	2,420	4,775	59.7%
Shareholders' equity	-29	1,467	1,528	1,593	N/A
Change in working capital	-51	0	44	-76	N/A
Cash flow from operations	310	389	647	1,063	50.8%
Capital expenditure	-140	-221	-423	-751	N/A
Free cash flow	168	168	225	312	22.9%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	55.8	82.8	N/A	N/A	69.3
EV/sales (x)	19.4	14.5	10.8	7.5	13.0
EV/EBITDA (adj) (x)	46.8	37.1	27.9	16.8	32.1
Equity FCF yield (%)	-0.2	-7.9	0.2	2.9	-1.2
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	3.1	0.3	0.9	0.9	1.3
Total debt/capital (%)	102.3	8.5	8.2	28.6	36.9

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 119.09**
Price Target **USD 160.00**

Why OVERWEIGHT?

DigitalOcean should benefit from long-term cloud migration and digital transformation secular tailwinds, increased focused on customer retention and expansion as the company rolls out and grows its direct sales and partner initiatives, and product rollouts that expand the breadth and depth of its IaaS and PaaS portfolio.

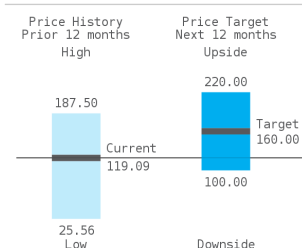
Upside case **USD 220.00**

Our upside case is based on a 10% earnings premium on our CY30E EPS estimate discounted to CY27E and a 45x P/E multiple.

Downside case **USD 100.00**

Our downside case is based on a 10% earnings discount on our CY30E EPS estimate discounted to CY27E and a 25x P/E multiple.

Upside/Downside scenarios



U.S. Software

POSITIVE

OpenText Corp. (OTEX)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,168	5,219	5,317	5,454	1.8%
EBITDA (adj)	1,785	1,825	1,872	1,944	2.9%
Operating profit (adj)	1,654	1,688	1,739	1,814	3.1%
Pre-tax income (adj)	1,326	1,379	1,415	1,490	3.9%
Tax rate (%)	24	24	24	24	0.0%
Net income (adj)	1,008	1,048	1,076	1,132	4.0%
EPS (adj) (\$)	3.82	4.18	4.40	4.71	7.2%
Diluted shares (mn)	263.6	250.6	244.5	240.5	-3.0%
DPS (\$)	4.25	4.40	4.62	4.85	4.5%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	34.5	35.0	35.2	35.7	35.1
Operating margin (adj) (%)	32.0	32.3	32.7	33.3	32.6
Pre-tax (adj) margin (%)	25.7	26.4	26.6	27.3	26.5
Net (adj) margin (%)	19.5	20.1	20.2	20.8	20.1
ROIC (%)	13.5	14.3	15.2	16.3	14.8
ROA (%)	9.7	10.2	10.3	10.5	10.2
ROE (%)	25.6	26.0	25.5	25.6	25.7
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	375	406	439	479	8.4%
Goodwill	7,517	7,325	7,325	7,325	-0.9%
Cash and equivalents	1,156	1,333	1,790	2,288	25.5%
Total assets	13,774	13,366	13,531	13,804	0.1%
Short and long-term debt	6,378	6,211	6,211	6,211	-0.9%
Other long-term liabilities	221	172	172	172	-8.0%
Total liabilities	9,843	9,335	9,316	9,390	-1.6%
Net debt/(funds)	5,221	4,878	4,421	3,922	-9.1%
Shareholders' equity	3,931	4,032	4,215	4,414	3.9%
Change in working capital	-306	-178	-129	-95	N/A
Cash flow from operations	831	1,019	1,080	1,168	12.0%
Capital expenditure	-143	-182	-166	-170	N/A
Free cash flow	937	1,072	1,160	1,244	9.9%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	6.1	5.6	5.3	5.0	5.5
EV/sales (x)	3.5	3.5	3.4	3.4	3.5
EV/EBITDA (adj) (x)	10.2	10.0	9.8	9.4	9.9
Equity FCF yield (%)	15.2	18.3	20.3	22.2	19.0
P/BV (x)	1.6	1.5	1.4	1.3	1.4
Dividend yield (%)	18.2	18.9	19.8	20.8	19.4
Total debt/capital (%)	61.9	60.6	59.6	58.5	60.1
Net debt/EBITDA (adj) (x)	2.9	2.7	2.4	2.0	2.5
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
License revenue	626	643	652	663	2.0%
Cloud Services revenue	1,856	1,942	2,040	2,153	5.1%
Customer Support revenue	2,334	2,303	2,288	2,294	-0.6%
Professional services and other	352	331	337	344	-0.8%

Note: FY End Jun

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 23.33**
Price Target **USD 27.00**

Why EQUAL WEIGHT?

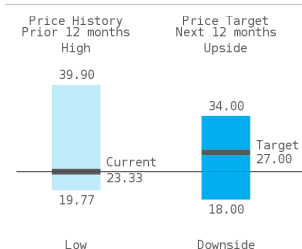
With a history of solid acquisition integration and steady margin profile, OTEX is one of the more defensive names in our coverage. The pushback tends to be on the maturity of the markets it is playing in and the minimal organic growth but valuation is amongst the lowest in our coverage and hence sets the bar lower on performance.

Upside case USD 34.00

Macro pressures ease earlier than anticipated and the geopolitical environment improves, leading to faster organic growth. In addition, management is able to rapidly deploy capital in more accretive acquisition opportunities.

Downside case USD 18.00

Ongoing macro pressures and geopolitical uncertainties persist, causing customers to delay buying well into the medium term, pressuring organic growth for longer than anticipated.

Upside/Downside scenarios

U.S. Software

POSITIVE

Paycom (PAYC)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	2,052	2,193	2,347	2,537	7.3%
EBITDA (adj)	882	963	1,086	1,209	11.1%
Operating profit (adj)	686	723	817	910	9.9%
Pre-tax income (adj)	703	709	816	929	9.8%
Net income (adj)	519	523	604	688	9.9%
EPS (adj) (\$)	9.25	10.71	12.65	14.44	16.0%
Diluted shares (mn)	56.0	48.8	47.7	47.6	-5.3%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	43.0	43.9	46.3	47.7	45.2
Operating margin (adj) (%)	33.4	33.0	34.8	35.9	34.3
Pre-tax (adj) margin (%)	34.2	32.3	34.8	36.6	34.5
Net (adj) margin (%)	25.3	23.8	25.7	27.1	25.5
ROIC (%)	30.0	31.5	37.4	38.7	34.4
ROA (%)	21.1	21.7	25.1	26.5	23.6
ROE (%)	30.0	53.0	45.1	38.7	41.7
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	687	639	596	526	-8.5%
Goodwill	52	52	52	52	0.0%
Cash and equivalents	370	319	266	425	4.7%
Total assets	7,599	5,412	5,625	6,086	-7.1%
Short and long-term debt	0	675	275	0	N/A
Other long-term liabilities	0	0	0	0	N/A
Total liabilities	5,867	4,426	4,286	4,308	-9.8%
Net debt/(funds)	-370	356	9	-425	N/A
Shareholders' equity	1,732	987	1,340	1,779	0.9%
Change in working capital	-178	-53	-66	-91	N/A
Cash flow from operations	679	727	823	914	10.4%
Capital expenditure	-271	-176	-205	-209	N/A
Free cash flow	404	551	617	704	20.4%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	16.2	14.0	11.8	10.4	13.1
EV/sales (x)	3.8	3.6	3.4	3.1	3.5
EV/EBITDA (adj) (x)	8.9	8.2	7.2	6.5	7.7
Equity FCF yield (%)	4.8	16.8	3.0	6.0	7.7
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-0.4	0.4	0.0	-0.4	-0.1
Total debt/capital (%)	0.0	40.6	17.0	0.0	14.4
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
Deferred revenue	150	159	169	179	6.0%

Price (20-Jul-2026) **USD 149.71**
Price Target **USD 154.00**

Why EQUAL WEIGHT?

A durable multi-year growth story with growth rates that have seen headwinds from tougher comps and macro in addition to company specific, transitory factors. We expect the company specific headwinds to continue to dissipate and note durable margin expansion potential, but note the lack of visibility in the growth deceleration trajectory.

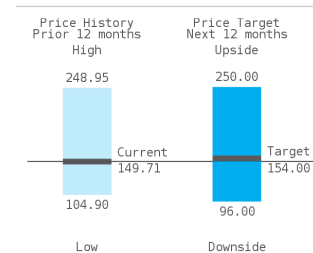
Upside case **USD 250.00**

Our upside case is based on Paycom opening more new offices each year and ramping these new offices more quickly than in the past, as well as upselling more aggressively. Our upside target is based on 18x EV/CY27E FCF and 15% upside to our FCF estimate.

Downside case **USD 96.00**

A downside case could occur if incumbent vendors, primarily ADP and Paychex, respond more aggressively in terms of price or improve their technology solution and customer service offering. Our downside target is based on 10x EV/CY27E FCF and a 15% reduction to our FCF estimate.

Upside/Downside scenarios



Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

U.S. Software

POSITIVE

ServiceNow, Inc. (NOW)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	13,278	16,200	19,259	22,654	19.5%
EBITDA (adj)	4,887	6,071	7,091	8,384	19.7%
Operating profit (adj)	4,149	5,094	6,257	7,581	22.3%
Pre-tax income (adj)	4,586	5,241	6,559	7,853	19.6%
Net income (adj)	3,669	4,179	5,247	6,282	19.6%
EPS (adj) (\$)	13.84	4.01	5.02	5.99	-24.4%
Diluted shares (mn)	415.7	1,036.5	1,040.5	1,044.5	36.0%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	36.8	37.5	36.8	37.0	37.0
Operating margin (adj) (%)	31.2	31.4	32.5	33.5	32.2
Pre-tax (adj) margin (%)	34.5	32.4	34.1	34.7	33.9
Net (adj) margin (%)	27.6	25.8	27.2	27.7	27.1
ROIC (%)	10.1	12.9	14.0	14.4	12.9
ROA (%)	6.7	7.1	8.3	8.8	7.7
ROE (%)	13.5	14.0	15.1	15.1	14.4
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	2,289	2,028	1,916	1,876	-6.4%
Goodwill	4,699	6,020	6,020	6,020	8.6%
Cash and equivalents	3,726	6,365	12,960	21,128	78.3%
Total assets	26,038	28,970	36,021	44,680	19.7%
Short and long-term debt	1,491	1,491	1,491	1,491	0.0%
Other long-term liabilities	220	258	258	258	5.5%
Total liabilities	13,074	14,289	16,178	18,600	12.5%
Net debt/(funds)	-4,793	-7,354	-13,949	-22,117	N/A
Shareholders' equity	12,964	14,681	19,843	26,080	26.2%
Change in working capital	29	175	574	1,070	232.9%
Cash flow from operations	5,444	6,171	7,636	9,232	19.3%
Capital expenditure	-868	-638	-722	-763	N/A
Free cash flow	4,576	5,532	6,914	8,469	22.8%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	7.6	26.1	20.9	17.5	18.0
EV/sales (x)	8.1	6.6	5.6	4.7	6.3
EV/EBITDA (adj) (x)	22.0	17.7	15.2	12.8	16.9
Equity FCF yield (%)	10.5	5.1	6.3	7.7	7.4
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-1.0	-1.2	-2.0	-2.6	-1.7
Total debt/capital (%)	10.3	9.2	7.0	5.4	8.0
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
Deferred revenue	8,434	9,976	11,846	14,210	19.0%

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 104.70**
Price Target **USD 134.00**

Why OVERWEIGHT?

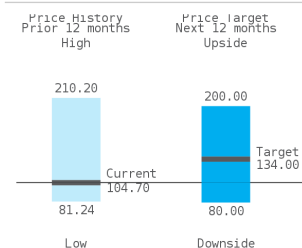
NOW has strong exposure to the SaaS theme that is reshaping the software industry. The company's focus on cloud management tools should continue to drive top-line growth as private/hybrid cloud deployments and PaaS become more mainstream.

Upside case **USD 200.00**

Our upside case is based on CY27 EV/FCF of ~30x and our base case FCF estimate.

Downside case **USD 80.00**

Our downside case is based on CY27 EV/FCF of ~12x and our base case FCF estimate.

Upside/Downside scenarios

U.S. Software

POSITIVE

WhiteFiber, Inc. (WYFI)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	79	128	223	340	62.5%
EBITDA (adj)	17	40	105	188	121.2%
Operating profit (adj)	-8	-10	20	70	N/A
Pre-tax income (adj)	-6	-32	-14	20	N/A
Net income (adj)	-5	-33	-13	17	N/A
EPS (adj) (\$)	0.00	-0.84	-0.33	0.38	N/A
Diluted shares (mn)	36	39	41	43	6.3%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	21.9	31.7	47.1	55.2	39.0
Operating margin (adj) (%)	-9.5	-8.2	9.1	20.7	3.0
Pre-tax (adj) margin (%)	-7.7	-25.4	-6.2	6.0	-8.3
Net (adj) margin (%)	-6.3	-25.9	-6.0	4.9	-8.4
ROIC (%)	-1.0	-3.9	-1.5	1.5	-1.2
ROA (%)	-0.8	-2.8	-1.0	1.1	-0.9
ROE (%)	-1.0	-9.6	-3.8	4.1	-2.6
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	337	622	726	997	43.6%
Goodwill	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	114	170	122	64	-17.4%
Total assets	651	1,188	1,284	1,575	34.2%
Short and long-term debt	0	512	512	712	N/A
Other long-term liabilities	0	0	0	0	N/A
Total liabilities	169	845	925	1,173	90.8%
Net debt/(funds)	-114	342	390	648	N/A
Shareholders' equity	482	343	358	402	-5.9%
Change in working capital	29	7	40	-30	N/A
Cash flow from operations	46	41	138	133	42.8%
Capital expenditure	-268	-403	-186	-391	N/A
Free cash flow	-223	-362	-48	-258	N/A
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	N/A	N/A	N/A	70.5	70.5
EV/sales (x)	15.2	9.4	5.4	3.5	8.4
EV/EBITDA (adj) (x)	69.4	29.8	11.5	6.4	29.3
Equity FCF yield (%)	-22.8	-34.0	-4.3	-22.0	-20.8
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-6.6	8.5	3.7	3.5	2.3
Total debt/capital (%)	0.0	59.9	58.8	63.9	45.7
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
License revenue	0	0	0	0	N/A
Maintenance revenue	0	0	0	0	N/A
Services revenue	0	0	0	0	N/A
Deferred revenue	0	0	0	0	N/A

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 27.13**
 Price Target **USD 29.00**

Why EQUAL WEIGHT?

We view WYFI as an emerging player in the AI infrastructure landscape as a beneficiary of the booming AI opportunity. The company shows healthy growth in both cloud and colocation services segments, though we note that we need to wait for more visibility for the longer-term mix between the two segments and for the company to prove its good execution.

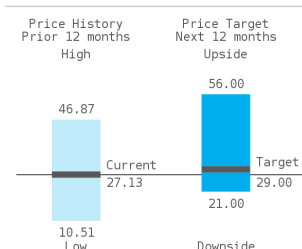
Upside case **USD 56.00**

Our upside case is based on a 10% EPS premium and an CY27E P/E multiple of 26x.

Downside case **USD 21.00**

Our downside case is based on a 10% EPS discount and an CY27E P/E multiple of 12x.

Upside/Downside scenarios



U.S. Software

POSITIVE

IBM Corp. (IBM)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	67,534	71,611	74,966	78,383	5.1%
EBITDA (adj)	19,151	21,008	21,339	21,613	4.1%
Operating profit (adj)	N/A	N/A	N/A	N/A	N/A
Pre-tax income (adj)	12,714	13,671	14,529	15,117	5.9%
Net income (adj)	10,994	11,750	12,468	12,916	5.5%
EPS (adj) (\$)	11.59	12.36	13.12	13.58	5.4%
Diluted shares (mn)	949	951	950	951	0.1%
DPS (\$)	6.59	6.62	6.62	6.62	0.1%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	28.4	29.3	28.5	27.6	28.4
Operating margin (adj) (%)	N/A	N/A	N/A	N/A	N/A
Pre-tax (adj) margin (%)	18.8	19.1	19.4	19.3	19.1
Net (adj) margin (%)	16.3	16.4	16.6	16.5	16.4
ROIC (%)	10.9	10.6	10.6	10.5	10.7
ROA (%)	7.0	6.4	6.5	6.4	6.6
ROE (%)	32.4	26.7	24.0	21.4	26.1
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	N/A	N/A	N/A	N/A	N/A
Goodwill	N/A	N/A	N/A	N/A	N/A
Cash and equivalents	13,590	15,172	23,951	33,836	35.5%
Total assets	151,880	164,031	172,434	182,667	6.3%
Short and long-term debt	61,260	66,361	66,361	66,361	2.7%
Other long-term liabilities	9,810	9,979	9,767	10,692	2.9%
Total liabilities	119,139	124,599	125,734	128,287	2.5%
Net debt/(funds)	46,843	50,225	41,446	31,561	-12.3%
Shareholders' equity	32,741	39,432	46,700	54,380	18.4%
Change in working capital	-4,090	-2,460	-1,205	255	N/A
Cash flow from operations	13,194	15,863	17,171	18,377	11.7%
Capital expenditure	1,617	2,010	2,100	2,195	10.7%
Free cash flow	14,736	15,695	16,643	16,603	4.1%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	18.4	17.2	16.2	15.7	16.9
EV/sales (x)	3.6	3.5	3.2	2.9	3.3
EV/EBITDA (adj) (x)	12.9	11.9	11.3	10.7	11.7
Equity FCF yield (%)	7.3	7.8	8.2	8.2	7.9
Dividend yield (%)	3.1	3.1	3.1	3.1	3.1
Net debt/EBITDA (adj) (x)	2.4	2.4	1.9	1.5	2.1
Total debt/capital (%)	65.2	62.7	58.7	55.0	60.4
Selected operating metrics	2025A	2026E	2027E	2028E	CAGR
License revenue	N/A	N/A	N/A	N/A	N/A
Maintenance revenue	N/A	N/A	N/A	N/A	N/A
Services revenue	N/A	N/A	N/A	N/A	N/A
Deferred revenue	N/A	N/A	N/A	N/A	N/A

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 213.00**
Price Target **USD 288.00**

Why OVERWEIGHT?

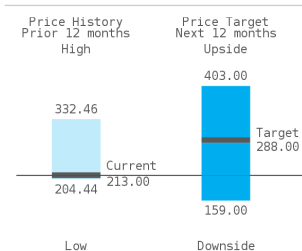
IBM's portfolio of hybrid cloud infrastructure, AI and enterprise software solutions supports mission-critical workloads for large customers. IBM is expanding into higher growth software areas while seeing healthy demand for its existing solutions, providing steady growth and margin expansion, with upside growth potential coming from quantum computing.

Upside case **USD 403.00**

IBM's hybrid cloud strategy could see greater interest and demand from clients as they look to modernize their IT posture while better controlling cloud costs. Further, IBM has a compelling opportunity ahead around quantum computing that could accelerate growth if successful.

Downside case **USD 159.00**

IBM operates in a competitive market across many of its product areas and has expanded into adjacent markets through M&A, which creates execution risk. Further, IBM has a compelling LT growth opportunity around quantum computing that if not successful could compress multiples.

Upside/Downside scenarios

U.S. Software

POSITIVE

Paylocity Holding Corp (PCTY)

EQUAL WEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	1,595	1,759	1,887	2,045	8.6%
EBITDA (adj)	583	642	685	776	10.0%
Operating profit (adj)	484	543	573	659	10.8%
Pre-tax income (adj)	489	545	577	663	10.7%
Net income (adj)	406	444	467	537	9.8%
EPS (adj) (\$)	7.17	8.12	8.84	10.27	12.7%
Diluted shares (mn)	57	55	53	52	-2.5%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	36.5	36.5	36.3	37.9	36.8
Operating margin (adj) (%)	30.4	30.9	30.3	32.2	31.0
Pre-tax (adj) margin (%)	30.7	31.0	30.6	32.4	31.2
Net (adj) margin (%)	25.4	25.2	24.8	26.3	25.4
ROIC (%)	51.2	63.3	68.2	78.1	65.2
ROA (%)	24.1	26.0	21.2	19.4	22.7
ROE (%)	32.9	35.3	27.1	23.8	29.8
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	54	59	57	54	0.1%
Goodwill	343	343	343	343	0.0%
Cash and equivalents	398	368	802	1,294	48.1%
Total assets	4,389	5,543	6,041	6,604	14.6%
Short and long-term debt	209	125	125	125	-15.7%
Other long-term liabilities	9	8	10	10	6.9%
Total liabilities	3,156	4,286	4,319	4,345	11.3%
Net debt/(funds)	1	0	0	0	-43.1%
Shareholders' equity	1,234	1,257	1,722	2,258	22.3%
Change in working capital	-49	-55	-36	-45	N/A
Cash flow from operations	418	523	541	608	13.3%
Capital expenditure	-13	-22	-26	-28	N/A
Free cash flow	343	433	434	492	12.8%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	17.7	15.7	14.4	12.4	15.0
EV/sales (x)	4.3	3.9	3.4	2.9	3.6
EV/EBITDA (adj) (x)	11.8	10.6	9.3	7.6	9.8
Equity FCF yield (%)	7.0	5.0	6.4	7.4	6.5
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-0.3	-0.4	-1.0	-1.5	-0.8
Total debt/capital (%)	14.5	9.1	6.8	5.3	8.9

Note: FY End Jun

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 127.29**
Price Target **USD 128.00**

Why EQUAL WEIGHT?

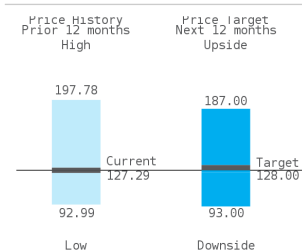
Paylocity offers a differentiated HCM solution that has allowed it to take market share from industry peers. The company is out-investing peers in R&D, and we think the company's product strategy and GTM approach will allow it to take additional share in the market over the medium term. However, current valuation levels limit outperformance.

Upside case **USD 187.00**

If Paylocity successfully integrates finance and IT functionality into its offering and stronger upsells, it could drive faster-than-expected growth and multiple expansion.

Downside case **USD 93.00**

If Paylocity fails to innovate at pace with the market or industry incumbents improve retention, then Paylocity may deliver lower-than-expected growth. This paired with above-average valuation levels could lead to underperformance.

Upside/Downside scenarios

U.S. Software

POSITIVE

SAP SE (SAP)

OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	36,800	40,361	45,179	50,717	11.3%
EBITDA (adj)	11,319	13,079	15,114	17,493	15.6%
Operating profit (adj) (\$mn)	11,772	14,108	16,338	19,052	17.4%
Pre-tax income (adj)	10,308	11,983	14,083	16,584	17.2%
Net income (adj)	7,166	8,503	9,923	11,602	17.4%
EPS (adj) (\$)	6.89	8.49	10.01	11.77	19.5%
Diluted shares (mn)	1,175.0	1,159.7	1,140.2	1,133.2	-1.2%
DPS (€)	2.50	2.93	3.48	4.10	17.9%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	30.8	32.4	33.5	34.5	32.8
Operating margin (adj) (%)	26.7	29.2	30.5	31.9	29.6
Pre-tax (adj) margin (%)	28.0	29.7	31.2	32.7	30.4
Net (adj) margin (%)	19.5	21.1	22.0	22.9	21.3
ROIC (%)	19.1	24.4	28.5	33.6	26.4
ROA (%)	9.8	12.3	14.6	16.2	13.2
ROE (%)	15.8	19.0	22.8	25.3	20.7
Balance sheet and cash flow (€mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E (\$mn)	5,081	5,058	5,018	5,119	0.2%
Goodwill (\$mn)	32,782	34,158	33,911	33,911	1.1%
Cash and equivalents	9,772	7,511	9,395	15,503	16.6%
Total assets	70,363	68,731	71,459	78,420	3.7%
Short and long-term debt	8,071	7,112	6,112	5,112	-14.1%
Other long-term liabilities	-311	-252	-435	-629	N/A
Total liabilities	25,125	24,738	25,107	25,365	0.3%
Net debt/(funds)	-3,381	-2,388	-5,272	-12,380	N/A
Shareholders' equity	44,750	43,488	45,847	52,549	5.5%
Change in working capital	-888	125	613	598	N/A
Cash flow from operations	9,157	11,107	12,621	14,356	16.2%
Capital expenditure	-739	-807	-904	-1,014	N/A
Free cash flow	8,273	10,327	11,522	13,005	16.3%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	23.0	18.6	15.8	13.4	17.7
EV/sales (x)	4.3	3.9	3.5	3.1	3.7
EV/EBITDA (adj) (x)	14.0	12.1	10.5	9.1	11.4
Equity FCF yield (%)	5.1	6.3	7.2	8.3	6.7
Dividend yield (%)	1.8	2.1	2.5	2.9	2.3
Net debt/EBITDA (adj) (x)	-0.3	-0.2	-0.3	-0.7	-0.4
Total debt/capital (%)	15.3	14.1	11.8	8.9	12.5
Selected operating metrics (€mn)	2025A	2026E	2027E	2028E	CAGR
License revenue	990	806	662	543	-18.1%
Maintenance revenue	10,525	9,693	8,990	8,136	-8.2%
Services revenue	4,262	4,077	4,168	4,252	-0.1%

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (20-Jul-2026) **USD 158.35**
Price Target **USD 255.00**

Why OVERWEIGHT?

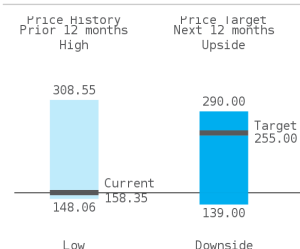
SAP's cloud transition is progressing well, driving double-digit revenue growth and improving margin and free cash flow conversion. We see this as an attractive financial profile and expect the stock to become increasingly attractive for global investors – Overweight.

Upside case USD 290.00

Our upside case is built around a faster revenue growth due to an acceleration of the transition to S/4HANA cloud as well as stronger margin upside due to increased cost focus and efficiency gains due to AI.

Downside case USD 139.00

A combination of mis-execution, lower growth due to increased competition/macro, and lower margins due to cost overruns or mix would result in downside to our profit expectations.

Upside/Downside scenarios

Appendix – Software Engineering Job Postings Methodology

Fan Gao, CFA^(v) BCI, US

Lightcast Data

Lightcast provides detailed job information including posted date, employer name, job title, job descriptions and so on for every job posting. To identify software engineer (SWE) type jobs, we start with job title containing Developer, Engineer, or Programmer. Then we summarize the patterns of SWE type jobs and use them to tag each job.

We design the SWE job pattern as keyword_1 + keyword_2 combination, where keyword_1 can be any word from: [Software, System, Cloud, Full Stack, Front End, Back End, Java, HTML, Python, C#, C++, PHP, SQL, Go, Rust, Ruby, Swift, .NET, Application, Web, Cyber, DevOps, Data, AI, ML, Machine Learning, Android, IOS, iOS, Linux, Computer, AWS, Azure, Oracle, Salesforce], and keyword_2 can be any word from [Developer, Engineer, Programmer]. The job would be tagged as SWE type job if any combination appears in the job title. For example: Software Engineer, System Developer, and Java Programmer.

We tagged each job post from 2014-01-01 to 2026-6-30, then aggregated them by each month.

^(v)*This author is a registered US equity research analyst who is subject to US FINRA Rule 2241 and who may write debt research under FINRA Rule 2242.*

Valuation Methodology and Risks

U.S. Software

Atlassian (TEAM / TEAM)

Valuation Methodology: We apply a ~15x EV/CY27E FCF multiple to our FCF estimate of ~\$2.1 bil. to arrive at our PT of \$112.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our investment thesis include increasing competition across DevOps/ITSM/Work Mgmt. end-markets and macro pressure driving a greater than expected impact on upsell/cross-sell motion. With new players emerging/expanding into the DevOps/ITSM/Work Mgmt. markets, TEAM's incumbent positioning could be susceptible to potential disruption/share loss. TEAM's free tier is a common land for future paid customers, and while rev./billings/RPO growth has maintained a strong clip into tougher macro, commentary around slightly slower conversion of free customers shows potential macro impact on TEAM's sales funnel going forward.

CoreWeave, Inc (CRWV / CRWV)

Valuation Methodology: We apply a ~36x CY27E EV/EBIT and our CY27E EBIT estimate of ~\$3.60bn to arrive at our PT of \$90. The multiple we apply reflects strong RPO growth and higher sentiment levels for AI infrastructure software peers.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our investment thesis include increasing competition across the AI-optimized IaaS space, inhibiting both existing customer growth as well as new customer contribution. With new players building out full functionality for AI-IaaS, CoreWeave's market leading position could be challenged. Additionally, critical customers like Microsoft, which are also building competing solutions, could bring more of their AI IaaS in house, which would have an impact on CoreWeave's growth outlook on a go forward. Lastly, any impact to the global supply chain as a result of uncertainty could result in timing delays for CoreWeaves CapEx, which would inhibit the company's ability to build out infrastructure for customers on a go forward.

Datadog, Inc. (DDOG / DDOG)

Valuation Methodology: Our PT of \$290 is based on ~75x CY27 FCF of ~\$1.357bn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: The competitive environment continues to evolve and may become tougher than expected with the observability, security, and CI/CD spaces increasingly coming together, which may pressure LT growth prospects. Weaker execution and a slowdown in product innovation can also result in lower-than-expected growth prospects for the company. A prolonged macro downturn could also impact Datadog, especially given its consumption-oriented model.

DigitalOcean (DOCN / DOCN)

Valuation Methodology: Our \$160 price target is based on a ~36x CY27E P/E multiple and our CY30E adj. EPS of \$5.91 discounted back to CY27E (implying \$4.44).

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: The primary risks for DigitalOcean is that hyperscalers drive pricing down for its core IaaS portfolio or increased competition within the IaaS or PaaS portfolio. Additionally, a prolonged weaker macro environment could cause spending to decline across certain verticals (blockchain), regions (Europe), and customer segments (customers spending less than \$50/month).

Dynatrace, Inc. (DT / DT)

Valuation Methodology: Our price target of \$48 is based on an EV/CY27E FCF multiple of ~20x and our CY27E FCF estimate of \$677mn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Near-term macro headwinds and slower-than-expected adoption of the company's platform may impact growth. Longer-term competitive headwinds from other observability competitors could also hinder the company's ability to land and expand with APM and more nascent products like Log analytics and AppSec.

IBM Corp. (IBM / IBM)

Valuation Methodology: Our \$288 price target is based on 18x EV/CY27E uFCF of \$18.4bn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: IBM's investment case remains contingent on sustained acceleration in software and AI, with limited margin for execution missteps given persistent mid-single-digit growth and a lack of clear incremental catalysts. At the same time, the company faces meaningful execution complexity from its ongoing portfolio shift and elevated competitive pressure from hyperscalers and software vendors, which could constrain its long-term growth and margin profile within the AI value chain. Additionally, longer-duration bets such as quantum computing carry uncertain commercialization timelines and may dilute returns, while macro-driven variability in enterprise IT spending introduces downside risk to consulting demand and large-scale transformation projects.

OpenText Corp. (OTEX / OTEX)

Valuation Methodology: Our \$27 PT is based on ~10x CY27E uFCF and CY27E uFCF of \$1.20bn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: An unsuccessful integration of the various Micro Focus assets and inability to turn around their declining top line is the biggest risk, in our view. We also see risk from the potential entrance of more modern offerings in the content management space.

Paycom (PAYC / PAYC)

Valuation Methodology: Our price target of \$154 is based on EV/FCF of 13x and CY27E FCF of \$617mn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Incumbent vendors start to execute better and respond more strongly: if the incumbent vendors with a large market share at the moment, such as ADP or Paychex, develop a better technology solution (e.g., single database platform) or improve their customer service then this could intensify competitive deals. In addition, with their large installed base already, a better technology solution or better customer service could help them reduce attrition to newer vendors like Paycom. This could put pressure on Paycom's market share wins or make price more of a competitive talking point. Overall, the incumbent vendors "getting their

Valuation Methodology and Risks

act together" represent a potential risk to our Paycom growth estimates. Slower-than-expected productivity ramp up at newer offices: We give Paycom's management the benefit of the doubt that new offices can ramp up in sales productivity in the same way that has been done historically. If there were to be sales execution around going to market in new regions or closing deals then productivity and growth would be negatively impacted. This could potentially arise as the number of offices increase too quickly relative to the number of sales managers and management attention becomes diluted. It may also occur if management has underestimated the market opportunity or local competition in a new city/region that Paycom has expanded into.

Paylocity Holding Corp (PCTY / PCTY)

Valuation Methodology: Our \$128 price target is based on 15x EV/FCF and CY27E FCF of \$463mn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Paylocity competes in a highly competitive industry and sees a significant amount of new client opportunities via churn from legacy competitors. If legacy providers innovate faster than expected, this could lead to better retention, and therefore less new client growth opportunities for Paylocity. In addition, rising unemployment levels could negatively impact revenue per customer, which may limit PCTY's growth outlook. On the upside, faster than expected US economic growth could offer PCTY more growth opportunities, leading to upside to our estimates. Also, if competitors fail to add enough support capacity as it grows and customer satisfaction levels fall, then PCTY could see more potential client activity than expected.

SAP SE (SAP / SAP)

Valuation Methodology: Our preferred valuation methodology for software businesses is to use a growth-adjusted P/E (cash-adjusted) framework and apply premiums and discounts for company-specific factors. In our growth-adjusted framework, we assume that growth of companies converges over time. On this framework we value SAP, as a double-digit organic growth business, at 25x clean FY27E P/E. Our ADR PT is \$255 and based on an 1.15 EUR/USD exchange rate.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key downside risks include 1) slower-than-anticipated cloud growth due to macro, slower customer adoption, or competition; and 2) faster-than-anticipated cost growth especially due to additional product investments.

ServiceNow, Inc. (NOW / NOW)

Valuation Methodology: Our \$134 price target is based on 20x EV/CY27E FCF and CY27E FCF of \$6.91bn.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: ServiceNow has large enterprise customers who spend significant amounts on NOW's platform that could see pressured IT budgets due to growing LLM token costs that could reduce expansion rates. Macro pressures and uncertainty around AI advancements could elongate sales cycles and slow top-line growth.

WhiteFiber, Inc. (WYFI / WYFI)

Valuation Methodology: We apply a ~15x P/E multiple on discounted CY29E adj. EPS estimate of \$2.56 back to CY27 (implying CY27E adj. EPS of \$1.97) to arrive at our PT of \$29.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our investment thesis include customer concentration, ability to attract favorable financing, and long useful life of equipment. WYFI remains concentrated with a small customer base, which increases the risk of revenue visibility into the future. This dynamic also can create upside risk to the stock upon announcements of customer deal signings. In addition, WYFI is still in its early stage of expansion, so it may face relatively higher funding costs. Data center development and equipment deployment is capital-intensive by its nature, and this creates the risk for WYFI to fall behind in the face of getting access to capacity. In addition, data center equipment usually has long useful life, exposing the company to the risk of obsolescence if more modern and efficient equipment is introduced faster than expected.

Source: Barclays Research

Analyst(s) Certification(s):

I, Raimo Lenschow, CFA, hereby certify (1) that the views expressed in this research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Stocks (Ticker, Date, Price)

Atlassian (TEAM, 20-Jul-2026, USD 96.43), Overweight/Positive, CD/J

CoreWeave, Inc (CRWV, 20-Jul-2026, USD 73.06), Equal Weight/Positive, CD/CE/D/FA/J/L

Datadog, Inc. (DDOG, 20-Jul-2026, USD 263.20), Overweight/Positive, CE/J

DigitalOcean (DOCN, 20-Jul-2026, USD 119.09), Overweight/Positive, CE/FA/J

Dynatrace, Inc. (DT, 20-Jul-2026, USD 44.71), Overweight/Positive, CE/J

IBM Corp. (IBM, 20-Jul-2026, USD 213.00), Overweight/Positive, CD/CE/D/E/J/K/L/M/N

OpenText Corp. (OTEX, 20-Jul-2026, USD 23.33), Equal Weight/Positive, CD/CE/D/FA/FC/J/K/L/M/N

Paycom (PAYC, 20-Jul-2026, USD 149.71), Equal Weight/Positive, CE/J

Paylocity Holding Corp (PCTY, 20-Jul-2026, USD 127.29), Equal Weight/Positive, FA/J

SAP SE (SAP, 20-Jul-2026, USD 158.35), Overweight/Positive, CD/CE/FA/J/K/M/N

ServiceNow, Inc. (NOW, 20-Jul-2026, USD 104.70), Overweight/Positive, A/CD/CE/D/E/FA/J/K/L/M

WhiteFiber, Inc. (WYFI, 20-Jul-2026, USD 27.13), Equal Weight/Positive, A/D/J/L

Materially Mentioned Stocks (Ticker, Date, Price)

Appian Corporation (APPN, 20-Jul-2026, USD 26.03), Underweight/Positive, CE/J

Commerce (CMRC, 20-Jul-2026, USD 2.99), Underweight/Positive, CE/FA/J

Five9, Inc. (FIVN, 20-Jul-2026, USD 25.70), Overweight/Positive, CE/FA/J

HubSpot, Inc. (HUBS, 20-Jul-2026, USD 231.21), Overweight/Positive, CE/J

JFROG LTD (FROG, 20-Jul-2026, USD 90.43), Overweight/Positive, J

Klaviyo, Inc. (KVYO, 20-Jul-2026, USD 18.15), Overweight/Positive, A/CE/D/J/L

Microsoft Corp. (MSFT, 20-Jul-2026, USD 402.29), Overweight/Positive, CD/CE/D/E/J/K/L/M/N

Similarweb Ltd. (SMWB, 20-Jul-2026, USD 6.69), Overweight/Positive, CE/J

Sprout Social, Inc. (SPT, 20-Jul-2026, USD 8.41), Overweight/Positive, CE/FA/J

ZoomInfo Technologies Inc. (GTM, 20-Jul-2026, USD 3.13), Equal Weight/Positive, CE/FA/J/K/M

monday.com Ltd (MNDY, 20-Jul-2026, USD 76.75), Overweight/Positive, CE/FA/J

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Cloudflare, Inc. (NET)	Commerce (CMRC)	CoreWeave, Inc (CRWV)
CrowdStrike Holdings, Inc (CRWD)	Datadog, Inc. (DDOG)	Descartes Systems Group (DSGX)
DigitalOcean (DOCN)	Dynatrace, Inc. (DT)	Elastic N.V. (ESTC)
EverCommerce Inc. (EVCN)	Five9, Inc. (FIVN)	Fortinet, Inc. (FTNT)
Gen Digital Inc. (GEN)	GitLab Inc. (GTLB)	Hinge Health, Inc. (HNGE)
HubSpot, Inc. (HUBS)	IBM Corp. (IBM)	Intapp, Inc. (INTA)
Intuit Inc. (INTU)	JFROG LTD (FROG)	Klaviyo, Inc. (KVYO)
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nCino, Inc. (NCNO)	Okta, Inc. (OKTA)	Omada Health, Inc. (OMDA)
OpenText Corp. (OTEX)	Oracle Corp. (ORCL)	Palo Alto Networks (PANW)
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SAP SE (SAP)	SentinelOne, Inc. (S)	ServiceNow, Inc. (NOW)
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